DEGREE PROJECT

Bridging But Not Bonding

How Managed Ecosystem Platforms Enable and Constrain Immigrant Food Entrepreneurs in NonMetropolitan Sweden

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ABSTRACT

Some immigrant food entrepreneurs in Luleå exist commercially only if Swedish consumers open a specific app. They have no shopfront, no community reputation, and no social network in the Swedish mainstream market. This study examines whether and how managed ecosystem platforms, specifically Foodora and Wolt, help these entrepreneurs overcome two structural barriers: the liability of foreignness, which in food markets takes the specific form of a knowledge encoding problem in which taste and cultural convention cannot be transmitted through digital data alone and the liability of outsidership, which on algorithm-driven platforms takes the form of a circular dependency between ratings and orders. Luleå is chosen because it removes the local ethnic population supplying automatic demand making both barriers present simultaneously at maximum intensity from the first day of trading.

The study uses a qualitative and exploratory design with an abductive approach, beginning with an existing theoretical framework and allowing empirical data to extend and specify it. Nine semi-structured interviews were conducted in Luleå" eight with immigrant food entrepreneurs and one with the Foodora junior area manager. Each business was treated as an individual case within a multiple case study design. Data was analyzed through thematic analysis following Braun and Clarke (2006).

Consistent with the theoretical framework, the platform's enabling function is confirmed but partial: it can substantially resolve the transactional-level barriers in an entrepreneur's relationship with consumers, while the governance-level relationship with the platform itself remains structurally asymmetric regardless. Three pathways for breaking the circular visibility problem were identified: personal network seeding, pre-existing community reputation, and small-city community curiosity. Two findings fall entirely outside the theoretical framework. The Luleå labour market can force a commercially successful business to close because no kitchen workers are available. And for some businesses, platform participation is not a strategic choice but a competitive compulsion with non-negotiable terms.

The empirical findings produce a series of modifications to the existing framework. Consistent with prior theory, the severity of the liability of foreignness depends on the gradient of prior Swedish food service experience, an entrepreneur's starting position rather than a fixed condition. Beyond this, the liability of foreignness is shown to operate through demand-side asset-of-foreignness mechanisms independent of any co-ethnic population, and platform-mediated delivery introduces an operational dimension of foreignness that existing frameworks do not address. The circular problem is shown to be compounded from the demand side by habitual consumer ordering patterns the platform itself has shaped, and access to the pathways that break it depends on entrepreneurs' pre-existing bonding and bridging ties. Trust is shown to develop sequentially rather than across parallel institutional levels, extending Ramphal et al. (2026), with a further relational dimension operating through social media. Finally, platform participation in a locally dominant market is shown to be a constrained rather than free strategic choice, connecting the platform power literature to immigrant entrepreneurship in a way neither addresses on its own.

For immigrant food entrepreneurs, the implications are to seek Swedish food service experience before opening, to plan a personal network seeding strategy before the platform listing goes live, and to begin social media engagement at the same time as platform registration. For Foodora and Wolt, a temporary visibility period for new suppliers, clearer communication of the offers section, and a tiered commission structure for small businesses would bring platform design into closer alignment with their enabling claims. For policymakers in northern Sweden, the labour market barrier identified in this study is real and urgent, and platform participation cannot resolve it; it requires a separate policy agenda.

Key words: Managed Ecosystem Platforms; Liability Of Foreignness; Liability Of Outsidership; Immigrant Food Entrepreneurship; Non-Metropolitan Sweden.

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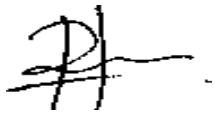
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CHAPTER 1: INTRODUCTION

This chapter establishes the theoretical and empirical starting point for the study. It begins by defining precisely what kind of food business this study examines, a definition that shapes everything that follows, including the theoretical framework, the research questions, and the interview design. It then introduces the two structural barriers that these businesses face, explains why Luleå is the specific context in which both barriers are most acute and identifies the gap in existing literature that this study is designed to address. The chapter concludes with the three research questions, the delimitations, the expected contributions, and the structure of the thesis.

1.1 Background

Some food businesses in Luleå are invisible to Swedish consumers unless those consumers open a specific app. They have no shopfront that passing pedestrians notice. They do not appear in Google searches for local restaurants unless they are listed on a delivery platform. There is no community recommendation network through which Swedish word-of-mouth would reach them, because they have no prior presence in any Swedish community. The only pathway through which a mainstream Swedish consumer can discover, evaluate, order from, and pay for their food is a managed ecosystem platform, specifically Foodora or Wolt. These are the businesses this study examines: immigrant-owned, platform-dependent, location-bound food businesses whose entire consumer-facing operation is mediated by a single digital infrastructure that they did not build and do not control. This definition is not incidental to the study. It is foundational. Every theoretical question this study addresses, namely how cultural knowledge is acquired, how consumer trust is built, and how algorithmic visibility is gained, flows directly from the structural condition of complete platform dependency.

The food businesses in this study are immigrant-owned restaurants that prepare meals to order for platform delivery. What these businesses share is the absence of any independent mechanism for consumer discovery. Unlike a traditional food business, a restaurant where customers walk past, notice the menu in the window, and come in, these businesses have no walk-in traffic, no street presence, and no community-based word-of-mouth network in the mainstream Swedish market. Without the platform, they do not exist commercially. This is not a strategic choice that individual entrepreneurs have made. It is a structural feature of the market they have entered. Food delivery

platforms in Luleå have become the primary infrastructure through which consumers access local food businesses, and for an immigrant entrepreneur who arrives without prior connections to Swedish consumer networks, participation in that infrastructure is not optional; it is the only viable pathway to the mainstream market.

This structural reality creates two barriers that existing international business theory was not designed to explain. The first is the liability of foreignness (Zaheer 1995). The immigrant entrepreneur does not know Swedish food culture. They do not know what flavors Swedish consumers in Norrbotten expect in a graduation cake, what visual presentation makes a celebration pastry feel culturally appropriate rather than foreign, or which food occasions drive purchasing decisions in northern Sweden. This informational deficit is not trivially resolved by joining a platform. Platform data, namely orders, ratings, and reviews, can tell the entrepreneur that a product performed poorly. It cannot explain why. The sensory, occasion-specific, regionally embedded knowledge that Swedish consumers take for granted is precisely the knowledge that digital data cannot fully encode. The second barrier is the liability of outsidership (Johanson and Vahlne 2009). The immigrant entrepreneur is unknown to Swedish consumers. They have no social ties to the mainstream Swedish market, no community reputation, and no word-of-mouth network. On a platform driven by algorithmic recommendation, this means they are not merely unknown; they are algorithmically invisible. Without ratings, the algorithm does not recommend them. Without orders, they cannot get ratings. This is the circular problem at the heart of this study.

International business scholarship has generated substantial knowledge about both of these barriers, but that knowledge has significant limitations for the context this study examines. The liability of foreignness framework was developed by Zaheer (1995) to explain the additional costs faced by large multinational firms entering national markets. The liability of outsidership framework was introduced by Johanson and Vahlne (2009) to explain network exclusion in industrial business markets. Both frameworks assume actors with resources: the capacity to commission market research, invest in relationship-building, sustain losses during a learning period. An immigrant food entrepreneur in Luleå who must generate revenue from the first week of trading, who has no local ethnic population supplying automatic demand to fall back on, and whose only consumer access mechanism is an algorithm-driven delivery platform, does not fit either framework's assumptions. Whether and how managed ecosystem platforms can resolve both

barriers for this specific actor, under these specific conditions, is the theoretical question this study is designed to answer.

Brouthers et al. (2022) provide the most relevant existing framework. Their taxonomy of non-traditional entry modes identifies managed ecosystem platforms, namely delivery platforms that control every aspect of the supplier-consumer relationship, including information flows, promotional mechanisms, quality standards, and delivery logistics as the most theoretically significant entry mode for firms operating in location-bound product markets. Food is among the most location-bound product categories; it cannot be digitized, cannot be exported, degrades rapidly, and must be produced, delivered, and consumed within a limited geographic radius. Brouthers et al. (2022) introduce the concept of surrogate legitimacy to explain how platform listing provides new suppliers with immediate access to an established consumer network. The platform transfers a portion of its own brand trust to the previously unknown business, enabling a basis for first consumer engagement. This is a theoretically important mechanism, but it does not resolve the food knowledge encoding problem, and it does not resolve the algorithmic traction problem. It initiates the process of market entry. Whether that process can actually be completed, by an immigrant food entrepreneur who starts without cultural knowledge and without reviews, in a non-metropolitan city with no local ethnic population to provide automatic demand, is what this study investigates.

The study is situated in Luleå, Sweden's northernmost major city and the administrative center of Norrbotten County, with a population of approximately 80,000 (Statistics Sweden 2023). Luleå is not an arbitrary choice. It represents a particularly demanding test of whether platform-mediated market entry can work for structurally excluded actors. The immigrant community in Luleå is too small and too culturally fragmented, comprising many different nationalities with no single group large enough to constitute a viable customer base, to provide the kind of ethnic community that immigrant food entrepreneurs in Stockholm or Gothenburg can rely on for automatic demand. From the first day of trading, the only available customer base is mainstream Swedish consumers. This means that the food knowledge encoding problem and the algorithmic traction problem must be confronted simultaneously, without any income security, without the social proof that a local ethnic community might provide, and without the gradual learning period that metropolitan immigrant entrepreneurs normally use. Luleå's food culture adds a further dimension of difficulty:

Norrbotten has a distinctively homogeneous food culture, with strong shared attachments to specific occasion-bound food traditions that make cultural adaptation particularly precise and demanding. If managed ecosystem platforms can enable market entry under these conditions, the theoretical argument for their effectiveness is correspondingly strong.

1.2 Problem Discussion

The theoretical problem at the center of this study is not simply that immigrant food entrepreneurs face barriers to market entry. That is well established (Johanson and Vahlne 2009; Zaheer 1995). The problem is that the specific combination of barriers they face in Luleå, namely simultaneous LOF and LOO, no local ethnic population supplying automatic demand, complete platform dependency, and algorithmic outsidership, creates a situation that existing theoretical frameworks have not adequately addressed. This problem has four distinct dimensions.

The first dimension concerns a specific category of liability of foreignness: the inability to encode tacit cultural food knowledge through digital platform data. The liability of foreignness, as Zaheer (1995) defines it, encompasses unfamiliarity with local culture as a primary source of additional costs. In the food sector, this unfamiliarity has a specific and particularly acute form: unfamiliarity with the normative and cultural-cognitive institutional knowledge of Swedish food culture. What Ramphal et al. (2026) would call the informal institutions that govern what is legitimate and appropriate in food markets cannot be fully transmitted through digital data. Platform ratings provide commercial signals without cultural explanations. Social media observation provides visual and textual information without sensory engagement. The full resolution of LOF in the food sector requires the kind of direct cultural immersion that takes years to develop, and an immigrant entrepreneur in Luleå, with no income security provided by a local ethnic customer base, does not have years to develop it. Existing theory provides no account of how this specific form of LOF is resolved or whether platform participation accelerates the resolution process sufficiently to enable commercial viability.

The second dimension concerns a specific category of liability of outsidership: the circular dependency between algorithmic visibility and consumer ratings on managed ecosystem platforms. Johanson and Vahlne (2009) conceptualize LOO as social network exclusion: the disadvantage of not being a recognized member of the webs of relationships that constitute a

market. On a managed ecosystem platform, this social exclusion is compounded by a specific digital form of exclusion: algorithmic invisibility. Ramphal et al. (2026) demonstrate empirically that near-perfect ratings have become the normative baseline for consumer trust and participation in digital platform markets, with providers below this threshold systematically marginalized through algorithmic positioning. A new immigrant food business begins platform participation at zero, below the normative threshold and algorithmically invisible, unable to receive orders without ratings and unable to get ratings without orders. The existing LOO literature offers a limited account of this circular problem, because it was developed for social network contexts rather than algorithmic platform contexts. Whether the meso-level platform brand trust identified by Ramphal et al. (2026) as the mechanism that enables initial consumer engagement is sufficient to break this circular dependency for immigrant food businesses in Luleå is an open empirical question.

The third dimension is the absence of a local ethnic population supplying automatic demand. Most existing research on immigrant entrepreneurship from Rath and Kloosterman (2000) to Light and Gold (2000) to Kloosterman and Rath (2001) was conducted in metropolitan contexts where immigrant food entrepreneurs can initially serve local ethnic population that supply automatic demand for culturally familiar food, using shared cultural knowledge and existing social ties to generate early income while gradually learning the mainstream market. This strategy of relying on a local ethnic population for automatic demand makes the resolution of both LOF and LOO more gradual and less commercially risky. In Luleå, this buffer does not exist. Both barriers must be confronted simultaneously, from the first transaction, by an entrepreneur who is entirely dependent on a platform they cannot control and a consumer market they do not yet understand. This absence of a buffer constitutes the third dimension of the problem this study addresses.

The fourth dimension concerns the mechanism through which trust is built between immigrant food entrepreneurs and Swedish consumers once platform participation begins. Ramphal et al. (2026) distinguish between micro-level trust, built through individual peer ratings and reviews, and meso-level trust, derived from the platform's own brand credibility. While surrogate legitimacy (Brouthers et al. 2022) explains how platform brand trust initiates first consumer engagement, existing theory does not explain how this initial, borrowed trust is converted into independent, accumulated trust in the immigrant-owned business itself over repeated interactions. This conversion process, from platform-mediated trust to entrepreneur-specific trust, is the fourth

dimension this study examines. This specific combination of conditions has not been addressed by existing theoretical frameworks, and this is the precise gap that this study addresses.

1.3 Purpose of the Study

The purpose of this study is to examine whether and how managed ecosystem platforms, specifically Foodora and Wolt, help immigrant food entrepreneurs in Luleå overcome the liability of foreignness and the liability of outsidership when entering the mainstream Swedish consumer market. More specifically, the study focuses on two theoretical problems that platform participation raises but existing literature cannot resolve. The first is the food knowledge encoding problem, which concerns how immigrant entrepreneurs can acquire the normative and cultural-cognitive food knowledge of Norrbotten's Swedish consumers when that knowledge is largely inaccessible through digital data alone. The second is the algorithmic traction problem, which concerns how immigrant food entrepreneurs can gain visibility within platform recommendation systems when they begin participation with zero ratings and zero order history. The study also examines how trust between immigrant food entrepreneurs and Swedish consumers is built through the platform interaction process, drawing on the institutional trust framework developed by Ramphal et al. (2026) to understand how micro-level peer ratings and meso-level platform brand trust together enable the transition from structural outsidership to sustained market participation.

1.4 Research Questions

This study is guided by the following three research questions:

> **RQ1:** How do managed ecosystem platforms help immigrant food entrepreneurs in Luleå overcome the liability of foreignness?
>
> **RQ2:** How do managed ecosystem platforms help immigrant food entrepreneurs in Luleå overcome the liability of outsidership?
>
> **RQ3:** How is trust between immigrant food entrepreneurs and local Swedish consumers built and developed through managed ecosystem platform interaction?

RQ1 addresses the food knowledge encoding problem: how platform data, social media observation, and direct consumer feedback enable immigrant food entrepreneurs to acquire the normative and cultural-cognitive food knowledge of Norrbotten's Swedish consumers, and what the limits of digital learning mechanisms are when food is a sensory product that resists digital encoding. RQ2 addresses the algorithmic traction problem; how immigrant food entrepreneurs break the circular dependency between ratings and orders, how meso-level platform brand trust enables initial consumer engagement, and how algorithmic visibility is built from a position of structural outsidership in a small, homogeneous market. RQ3 addresses the trust-building outcome; how the institutional trust mechanisms identified by Ramphal et al. (2026) operate in practice for immigrant food entrepreneurs in Luleå, and how the combination of platform-mediated transactional trust and social media relational trust enables sustained market participation.

1.5 Delimitations

This study focuses specifically on immigrant-owned food businesses in Luleå, Sweden, that are active as suppliers on managed ecosystem platforms, specifically Foodora or Wolt. The study includes immigrant-owned restaurant businesses that prepare meals to order for platform delivery. The study therefore focuses exclusively on restaurant businesses, whose defining structural characteristic, complete platform dependency for mainstream consumer access, establishes the research context. Businesses that operate primarily through walk-in traffic or that use platforms only as a supplementary channel are excluded, as platform dependency is the structural condition that makes both theoretical problems, namely the food knowledge encoding problem, and the algorithmic traction problem, most acute.

The study focuses on the consumer-facing side of platform participation: how the platform mediates the entrepreneur's relationship with mainstream Swedish consumers. The supply-side dimension of market entry, namely how entrepreneurs access local ingredient suppliers, manage production logistics, and build operational networks, is acknowledged as an important but separate dimension of outsidership that lies outside the scope of this study. The study is geographically limited to Luleå and does not aim to produce findings that can be directly generalized to other Swedish cities or international contexts, though the theoretical framework developed here may have applicability in similar non-metropolitan, homogeneous food market contexts. The study

adopts a qualitative design and does not attempt to measure or quantify the commercial effects of platform participation on business performance.

1.6 Expected Contributions

Theoretically, this study makes two contributions. First, it introduces two new theoretical concepts, the food knowledge encoding problem and the algorithmic traction problem, which give analytical precision to aspects of immigrant entrepreneurship in platform markets that existing frameworks address only partially. Second, it applies the multi-level institutional trust framework of Ramphal et al. (2026) to the supplier side of managed ecosystem platform markets in a context that prior research has not examined, examining how immigrant food entrepreneurs experience and navigate the institutional trust mechanisms that consumer-side research has identified.

Practically, the study provides immigrant food entrepreneurs in non-metropolitan Swedish cities with evidence-based insights into how managed ecosystem platform participation can be used to overcome structural barriers. For platform operators such as Foodora and Wolt, the study provides an empirical account of how their platforms function and where they fall short as market entry mechanisms for structurally excluded supplier types. For policymakers and business support organizations in non-metropolitan Swedish regions, the study provides a grounded understanding of the specific barriers that immigrant food entrepreneurs face and the conditions under which those barriers can be overcome.

1.7 Structure of the Thesis

This thesis is organized into six chapters. Chapter 1 has established what kind of businesses this study examines, why their structural condition of complete platform dependency creates two specific theoretical problems, why Luleå is the appropriate research context, and what the three research questions are. Chapter 2 is the literature review. It begins with non-traditional market entry modes and the theoretical case for managed ecosystem platforms, before examining what platforms actively support and what they cannot automatically provide. It then addresses the specific challenges that platform participation creates for new and structurally excluded entrants, before developing the trust framework that explains how immigrant food businesses build consumer confidence in the absence of personal relationships and community reputation. The

Norrbotten micro-geographic context is then examined before the chapter concludes with a precise statement of the research gap and the three research questions. Chapter 3 is the methodology, explaining and justifying the research design, data collection approach, sampling strategy, interview guide, thematic analysis process, and quality and ethical standards. Chapter 4 presents the empirical findings from interviews with immigrant food entrepreneurs in Luleå, organised around the three research questions. Chapter 5 discusses the findings in relation to the theoretical framework, explains the study's contributions, acknowledges its limitations, and identifies directions for future research. Chapter 6 presents the study's conclusions, summarizing the key theoretical contributions and their implications for theory and practice.

CHAPTER 2: LITERATURE REVIEW

This literature review builds the theoretical foundation for the study by working through a logical sequence of ideas, structured around the contribution that managed ecosystem platforms make to immigrant food entrepreneurs attempting to enter the Swedish mainstream consumer market. The chapter begins with the range of non-traditional entry modes and the specific theoretical case for managed ecosystem platforms, before examining what platforms actively support and what they cannot automatically provide. It then addresses the specific challenges that platform participation creates for new and structurally excluded entrants, before developing the trust framework that explains how immigrant food businesses build consumer confidence in the absence of personal relationships and community reputation. The Norrbotten micro-geographic context is then examined, before the chapter concludes with a precise statement of the research gap and the three research questions.

The structure of this chapter reflects a deliberate analytical decision. The original Uppsala model of internationalization (Johanson and Vahlne 1977) treated market knowledge as something that could only be acquired through direct market presence over time, creating a structural paradox for resource-constrained actors who must generate revenue before they can afford the learning period that traditional market entry theory assumes. Digital platforms have disrupted this gradual model, but they have not disrupted it completely, and the precise nature of what they can and cannot do is the theoretical question that this literature review is designed to answer.

2.1 Non-Traditional Market Entry Modes and the Case for Managed Ecosystem Platforms

Brouthers et al. (2022) provide the analytical starting point for this study. Their classification of non-traditional entry modes identifies four distinct mechanisms through which firms can enter markets without the sequential resource commitments and experiential knowledge accumulation that traditional internationalization theory assumes (Johanson and Vahlne 1977): capital access through crowdfunding and digital investment platforms; innovation outposts through digital incubators and accelerators; virtual presence through firm-specific websites and social media; and managed ecosystem platforms that take complete operational control of the supplier-consumer

relationship. The analytical task is not to establish that non-traditional entry modes exist. It is to establish which one applies to the specific actor this study examines, and why.

Of Brouthers et al.'s (2022) four non-traditional entry modes, managed ecosystem platforms are the only one relevant to the actor this study examines. Capital access mechanisms address funding constraints, which is not the primary barrier facing immigrant food entrepreneurs in Luleå; innovation outposts are designed for knowledge-intensive technology firms rather than businesses producing a perishable physical good Brouthers et al. (2022); and virtual presence through firm-specific websites provides visibility but not the delivery infrastructure, payment processing, or local logistics network that food market entry requires. Managed ecosystem platforms, by contrast, provide all of these functions directly, making them the only viable entry mode for this study's context.

Food is among the most location-bound product categories. It cannot be digitized, cannot be exported, degrades rapidly, and must be produced, delivered, and consumed within a limited geographic radius. Stallkamp and Schotter (2021) confirm that managed food delivery platforms require adequate consumer density within a specific city to operate profitably, and the fact that both Foodora and Wolt operate actively in Luleå confirms that the preconditions for managed ecosystem market entry exist in this non-metropolitan context.

Brouthers et al. (2022) define managed ecosystem platforms as categorically distinct from simple marketplace platforms in that they take complete operational control of the supplier-consumer relationship, managing information flows, quality standards, promotional mechanisms, and delivery logistics simultaneously. Li et al. (2019) identify the resulting advantages as ecosystem-specific: knowledge advantages from accumulated consumer data, infrastructure advantages from established logistical systems, and reputational advantages from quality assurance and rating mechanisms. Luo (2021) synthesizes these as linkage, leverage, and learning: immediate connection to the platform's existing consumer network; access to the platform's operational infrastructure; and real-time market data from orders and reviews.

What the existing literature on non-traditional entry modes does not address, however, is what happens when the actor entering through a managed ecosystem platform is an immigrant food entrepreneur operating in a non-metropolitan city without a local ethnic population supplying

automatic demand, without prior connections to Swedish mainstream consumers, and without the cultural knowledge that Swedish food consumption norms require. Schweizer (2013) identifies the resource constraint as the central limitation of existing LOF and LOO frameworks when applied to small actors, and Coviello et al. (2017) explicitly call for revision of these frameworks in the light of digital platform access mechanisms. This study performs that revision.

2.2 What Platforms Support: Bridging Networks, Market Access, and the Partial Resolution of Structural Barriers

Understanding what platforms actively support requires a theoretical framework that addresses both dimensions of the structural exclusion that immigrant food entrepreneurs face: their exclusion from the social networks through which Swedish consumers discover food businesses, and their absence of the normative and cultural-cognitive knowledge through which Swedish consumers evaluate food products. These two dimensions correspond to the liability of outsidership (Johanson & Vahlne, 2009; Schweizer, 2013) and the liability of foreignness (Zaheer 1995) respectively.

2.2.1 Platforms as Bridging Networks: Addressing the Liability of Outsidership

Network theory starts with a foundational observation that is directly relevant to the commercial position of an immigrant food entrepreneur on their first day of trading in Luleå: markets are not neutral. M. Granovetter (1985) established that economic behavior is embedded in social relationships rather than flowing through impersonal market signals (Ramphal et al. 2026). People buy from businesses they know, have been told about by someone they trust, or have discovered through social network connections. For an immigrant entrepreneur who arrives in Luleå without prior connections to Swedish consumer networks, this insight is not an abstract theoretical proposition. It is the precise description of why their business is commercially invisible regardless of food quality.

M. S. Granovetter (1973) introduced the distinction between strong ties and weak ties. Strong ties are the close relationships with family, friends and members of one's own ethnic community, which provide emotional support but limited commercial reach. Weak ties are the looser connections to people outside the immediate social circle. They provide access to new information and new markets precisely because they bridge between social groups. An immigrant food

entrepreneur in Luleå typically has strong ties within their own ethnic community but lacks entirely the weak ties to mainstream Swedish consumers through which those consumers would normally discover a new food business. This absence of weak ties is not a failure of entrepreneurial effort. It is a structural condition.

Johanson and Vahlne (2009) applied Granovetter's embeddedness insight directly into the problem of market entry, arguing that the primary barrier to successful market entry is not cultural distance or psychic distance but network exclusion: the disadvantage of not being a recognized member of the social and commercial relationships that constitute a market. This is what they term the liability of outsidership. The distinction matters because it changes what the solution looks like. If the barrier is cultural ignorance, the answer is market research and product adaptation. If the barrier is social invisibility, the answer requires something that places the business within the network.

Chipp et al. (2019) provide precisely this solution through what they term bridging networks. Their argument, developed in the context of African markets with institutional voids, is that firms can enter markets without gradually building their own network position gradually by instead joining an existing external network that already has the position they need. Although Chipp et al. (Chipp et al. 2019) developed this concept in an African context, the underlying logic transfers directly to managed ecosystem platforms in Luleå. Foodora and Wolt are bridging networks. They cross the boundary between the immigrant entrepreneur's absent social position in the Swedish mainstream consumer market and an established consumer network of Luleå residents who open the app regularly. The platform's consumer network is the social infrastructure that the immigrant entrepreneur lacks. Joining the platform is the mechanism through which that infrastructure becomes accessible.

Brouthers et al. (2022) give this bridging network function a specific name: surrogate legitimacy. The platform transfers a portion of its own established brand trust to the previously unknown supplier through the act of platform listing, creating a basis for initial consumer engagement that the supplier could not generate through its own social capital. Swedish consumers who open Foodora or Wolt and see a new immigrant food business listed do not know the business, but they know and trust Foodora and Wolt. The platform's quality assurance architecture provides an

institutional guarantee that partially substitutes for the personal knowledge and community reputation that traditional market entry would require.

This mechanism operates at what Ramphal et al. (2026) term the meso level of institutional trust: trust placed in the platform as an institution, which is then extended, provisionally, to entities operating within it. Surrogate legitimacy is therefore not a transfer of accumulated reputation in the conventional sense; the supplier has no reputation to transfer. It is a loan of institutional credibility, extended by the platform on the basis of the supplier's formal compliance with platform standards rather than any demonstrated track record. This distinction matters because a loan, unlike a transfer, can be withdrawn or can fail to convert into something more durable. Whether and how this initial, borrowed legitimacy is converted into independent, accumulated trust in the specific business, what Ramphal et al. (2026) term micro-level trust, is a separate question that surrogate legitimacy alone does not answer.

It is important to specify the precise function of surrogate legitimacy in the market entry process (Brouthers et al. 2022). It does not make the new immigrant food business known to Swedish consumers. It makes the business discoverable with a minimum threshold of institutional credibility. That is a meaningful contribution, but it is not a complete solution to the liability of outsidership. Distinguishing between what surrogate legitimacy provides and what it does not provide is essential to understanding the platform's enabling function accurately.

2.2.2 Platforms as Learning Mechanisms: Addressing the Liability of Foreignness

The liability of foreignness was introduced by Zaheer (1995) to describe the additional costs a firm incurs when operating in a foreign market, arising from unfamiliarity with local culture and institutions, the absence of established local relationships, and potential discriminatory treatment by local actors. For immigrant food entrepreneurs, the most operationally immediate expression of LOF is the absence of normative and cultural-cognitive knowledge of Swedish food culture. Sousa and Bradley (2006) characterize this absence through the concept of psychic distance: not an objective measure of cultural difference but the subjective perception of the gap between the entrepreneur's knowledge of their home food culture and the specific expectations of consumers in the target market.

A rating tells you that the cake scored 3.2 stars (Ramphal et al. 2026). It does not tell you whether the problem was that the sponge was too dense by Swedish standards, that the cream filling was too sweet, that the decoration looked culturally inappropriate, or that the food was served on the wrong occasion. The data provides a commercial signal without a cultural explanation. This is the food knowledge encoding problem.

Digital platforms partially address this problem. Jean and Kim (2020) demonstrate that platform participation can significantly compress the time required for market learning compared to traditional presence-based approaches. Glavas et al. (2019) extend this finding, showing that digital platform-mediated learning can produce not merely incremental product adjustments but fundamental shifts in how an entrepreneur understands and approaches a market. Fraccastoro et al. (2021) note that social media enables competitor monitoring, trend identification, and consumer observation as forms of market intelligence; these mechanisms may contribute to food cultural learning, but they remain limited by the absence of the sensory engagement that full cultural calibration would require, and whether they are sufficient on their own is an open question.

Together, these digital learning mechanisms constitute what this study terms the two-channel learning architecture: platform review text provides commercial signals about which products meet or fail to meet Swedish consumer expectations, while social media observation provides the visual and contextual cultural knowledge through which those signals can be interpreted. The first channel tells the entrepreneur what happened. The second channel provides the cultural framework within which what happened can be understood. Neither channel alone is sufficient. Both together are more powerful than either individually, but both together still cannot resolve the most fundamental limitation of the food knowledge encoding problem: the sensory dimension of cultural knowledge about food. Taste, texture, aroma, and the embodied sense of what Swedish food is supposed to feel like cannot be transmitted through ratings, review text, or Instagram photographs. The platform accelerates the learning process. It does not complete it.

2.3 What Platforms Do Not Support: Bonding Networks and the Limits of Digital Learning

The distinction between what platforms support and what they do not support is as theoretically important as the account of the platform's enabling functions. What is less fully addressed in the

existing literature is the limiting side: the specific dimensions of market entry that platform participation initiates but cannot complete.

2.3.1 Bridging Versus Bonding Networks: What Platforms Cannot Build

Putnam (2000) drew an influential distinction between two forms of social capital that maps directly onto the difference between what managed ecosystem platforms provide and what they cannot provide. Bridging social capital connects individuals and communities across social divides, creating access to resources and opportunities that were not previously available. Bonding social capital strengthens connections within an existing group, deepening trust, shared identity, and mutual support among people who already know each other. Bridging social capital creates new access. Bonding social capital deepens existing relationships.

Managed ecosystem platforms function as bridging networks in Chipp et al.'s (2019) sense precisely because they provide bridging social capital: they connect the immigrant food entrepreneur to a consumer market with which they have no prior social ties. This is the platform's most commercially significant contribution, but bridging social capital is not sufficient for sustained market integration. The transition from initial access to community embeddedness requires bonding social capital: the deepening of personal relationships, repeat patronage, word-of-mouth recommendation, and community identity that transforms a new market entrant into a trusted local presence.

Social media engagement functions differently from platform participation in this structural sense (Putnam 2000). When an immigrant food entrepreneur uses Instagram or Facebook to share the story behind the food, the sourcing of ingredients, and the cultural background that shapes the cuisine, they are doing something that the platform's transactional rating architecture cannot replicate: they are making themselves personally known to consumers who choose to engage. The consumer who follows an immigrant food business on Instagram before placing their first order arrives with a fundamentally different quality of trust than the consumer who arrives through an anonymous algorithmic recommendation. This is the difference between platform-mediated transactional trust and social media-enabled relational trust, and it is the difference between bridging and bonding network functions (Ramphal et al. 2026).

2.3.2 The Encoding Limit: What Digital Channels Cannot Transmit

Schweizer (2013) identifies a further dimension of LOF that is relevant to this study: the resource constraint that prevents small firms from using the resolution mechanisms available to large multinational corporations. Large firms can commission formal market research studies of Swedish food culture; they can hire local cultural consultants; they can invest in product development laboratories that systematically test flavor profiles against consumer preferences. Immigrant food entrepreneurs in Luleå have none of these resources. They must resolve the food knowledge encoding problem through the limited mechanisms available to a small business: social media observation, platform feedback, direct consumer interaction, and iterative product adjustment. This resource constraint makes the food knowledge encoding problem more severe for immigrant food entrepreneurs than for any previously studied actor type in the LOF literature.

2.4 The Challenges: Algorithmic Exclusion, Discoverability, and Structural Power

2.4.1 The Algorithmic Traction Problem

The liability of outsidership in a managed ecosystem platform context is not quite the same thing as network exclusion in a traditional market. Johanson and Vahlne (2009) define it as the disadvantage of not being a recognized member of the webs of social and commercial relationships that constitute a market. Platform participation addresses the social network dimension of this exclusion through the surrogate legitimacy mechanism, but there is a second and specifically digital dimension of outsidership in platform markets: algorithmic exclusion. Foodora and Wolt do not present all listed businesses equally to all consumers. They use recommendation algorithms that systematically favor businesses with established track records, high rating scores, many reviews, and long participation histories. A new immigrant food business is technically present on the platform from day one but algorithmically invisible.

This creates the circular problem that is at the heart of this study's empirical inquiry. Without ratings, the algorithm does not recommend the business. Without algorithmic recommendations, the business receives few orders. Without orders, it cannot accumulate ratings. The platform's design logic makes the first orders the hardest to obtain. Breaking the initial circularity requires a

source of first orders that is independent of algorithmic recommendation, a source that the platform's own design does not provide.

Stallkamp and Schotter (2021) add a competitive dimension to this algorithmic disadvantage. Established businesses with high review volumes, long participation histories, and strong rating scores have systematic algorithmic advantages over new entrants. These advantages compound over time: the longer a business has been on the platform, the more reviews it has accumulated, and the higher its algorithmic position, which generates more orders, which generates more reviews. A new immigrant food business entering the Luleå platform market today competes for algorithmic visibility against businesses that have been accumulating reviews for years, in a market where the rating threshold required to trigger consumer trust has itself risen as the competitive field has matured.

2.4.2 Discoverability and Consumer Behavior: The Demand-Side Dimension

The algorithmic traction problem has a supply-side dimension, arising from the platform's ranking logic, and a demand-side dimension that the existing literature does not address at all. Most consumers who use delivery platforms do not browse extensively for new businesses to try. Research on digital consumer behavior consistently identifies two distinct ordering modes: exploratory behavior, in which consumers actively seek unfamiliar options, and habitual behavior, in which consumers reorder from businesses that have previously satisfied them (Gefen, Karahanna, and Straub 2003). Platform algorithms are designed to serve habitual consumers by prominently displaying their most recent and most frequent purchases, but for a new immigrant food business attempting to generate its first orders, the majority of the consumer base is algorithmically directed toward existing habits rather than toward discovery.

This demand-side compounding of the algorithmic traction problem is not addressed in the existing LOO literature, which was developed for social network exclusion contexts where consumer behavior patterns are not algorithmically shaped by the platform itself. New immigrant food businesses can only reach the minority explorer consumer segment through the platform's surrogate legitimacy, while the majority habitual consumer segment is directed by the algorithm away from them regardless of food quality (Gefen et al. 2003; Stallkamp and Schotter 2021). The

circular problem is therefore more structurally entrenched than the supply-side algorithmic account alone implies.

2.4.3 Platform Power and the Asymmetric Relationship

A further challenge that the existing managed ecosystem platform literature has not adequately addressed is the structural power relationship between the platform and the businesses that depend on it. Brouthers et al. (2022) treat platform participation as a strategic market entry choice. This framing is accurate for firms entering a market in which platform participation is genuinely optional. It is not accurate for food businesses operating in a market where platform infrastructure has achieved sufficient penetration to make non-participation commercially equivalent to exit.

When every other restaurant and food business in a local market is listed on Foodora or Wolt, the consumer base migrates to the platform as its primary mechanism for discovering and ordering food. A food business that chooses not to participate becomes invisible to an increasing proportion of its potential customer base. In that context, platform participation is not a strategic choice. It is a competitive compulsion. The supplier has no real alternative and therefore no meaningful ability to resist the platform's financial terms, including commission rates, promotional discount policies, and algorithmic ranking logic that the platform sets unilaterally.

The platform does not merely mediate the transaction between the immigrant food business and the Swedish consumer. It owns the relationship. The consumer's name, order history, preferences, and contact details belong to the platform, not to the restaurant. The immigrant food entrepreneur receives an order, prepares food, and dispatches it but never learns who ordered it, cannot contact them directly, and has no mechanism through which to build a personal relationship with them. This supplier-side consumer anonymity is a structural feature of platform-mediated market access that limits the bonding network function and prevents the platform itself from ever providing the relational trust that sustained community integration requires.

2.5 Trust: From Surrogate Legitimacy to Sustained Consumer Confidence

The preceding sections have shown that managed ecosystem platforms provide immigrant food entrepreneurs with surrogate legitimacy (Brouthers et al. 2022), a borrowed, institutional form of trust that enables initial consumer engagement, while leaving unresolved how this initial legitimacy is converted into the independent, accumulated trust that sustained market participation requires. The central trust question in this study is how an immigrant food entrepreneur who is personally unknown to Swedish consumers, operating without community reputation or social network ties, can generate the consumer confidence necessary to receive first orders and build the rating accumulation that enables sustained market participation. This question requires a trust framework that addresses the specific institutional mechanisms through which trust is built in digital platform markets, without the personal relationships and community presence through which trust is built in offline markets (Ramphal et al. 2026).

2.5.1 The Nature of Trust in Digital Markets

McKnight and Chervany (2001) provide the foundational typology of trust constructs that is necessary for understanding how trust functions in digital commerce contexts where parties are personally unknown to each other. They distinguish four conceptually distinct trust types: disposition to trust, reflecting a general personal tendency to be willing to depend on others; institution-based trust, reflecting confidence in the structural conditions and regulatory frameworks that govern a particular context; trusting beliefs, reflecting specific beliefs about the trustworthiness, competence, and integrity of a particular party; and trusting intentions, reflecting willingness to depend on the party in a specific transaction. McKnight and Chervany (2001) demonstrate that institution-based trust, specifically structural assurance (the belief that legal, regulatory, and quality-assuring structures are in place) and situational normality (the belief that the interaction proceeds in a way that matches established expectations), are the primary mechanisms through which consumers build confidence in businesses they have not previously encountered. This is a theoretically important finding for this study because it establishes that trust in unknown businesses does not require personal knowledge. It requires institutional credibility, and institutional credibility is precisely what platform listing provides through the surrogate legitimacy mechanism.

Gefen et al. (2003) extend this typology empirically in the online shopping context, demonstrating that institution-based structural assurances and situational normality have the strongest effect on consumer trust, stronger than calculative assessments or knowledge-based familiarity. Their key empirical finding, that trust is as important as perceived usefulness in driving consumer purchase intentions, establishes trust as a central commercial mechanism that determines whether consumers engage with a platform business at all. Critically, they also demonstrate that trust is not static: it accumulates over time through repeated successful interactions, and familiarity with the platform and vendor builds trust progressively. This temporal dimension of trust development, from institution-based initial trust to knowledge-based experiential trust, is directly relevant to understanding the sequential trust-building process that immigrant food businesses navigate on delivery platforms.

Pavlou (2003) adds a further dimension through the explicit integration of perceived risk into the trust framework. In the e-commerce context, consumers face both behavioral uncertainties (the risk that the vendor will behave opportunistically) and environmental uncertainty (the risk that the transaction infrastructure itself will fail). Pavlou (2003) demonstrates empirically that trust reduces perceived risk through both dimensions, and that the effect of trust on transaction intentions operates both directly and indirectly through risk reduction. In a small, homogeneous market like Luleå, where negative experiences carry more reputational weight than in large diverse cities, risk reduction is commercially essential.

2.5.2 Institutional Trust Architecture in Platform Markets

Ramphal et al. (2026) apply the trust framework to the specific context of platform-based markets, demonstrating empirically that consumer trust is structured across three institutional levels. At the micro level, peer-based ratings and reviews function as the normative institution of aggregated consumer judgment: the primary trust signal for new consumers making ordering decisions. At the meso level, the platform brand functions as the cultural-cognitive institution of established reputation that provides a sufficient basis for initial consumer engagement with an unknown business. At the macro level, regulatory certification provides a formal guarantee of baseline quality standards.

The key empirical finding of Ramphal et al. (2026) is that the normative institution, peer-based platform ratings, is the dominant driver of consumer trust and participation intention, while the regulatory institution plays a markedly limited role. As they observe, the collective judgment of peers holds more sway for consumers than the oversight of formal authorities in establishing legitimacy. The most important operational finding for understanding the circular problem is what they call the rating floor effect: near-perfect ratings have become the normative baseline for participation in digital platform markets, and providers below this threshold are systematically marginalized through algorithmic positioning.

Integrating McKnight and Chervany's (2001) typology, Gefen et al.'s (2003) empirical findings, Pavlou's (2003) risk integration, and Ramphal et al.'s (2026) platform-specific application, a synthetic trust architecture emerges that is more analytically useful than any of the four frameworks provide independently. In the pre-rating stage, before any peer reviews exist, institution-based trust in the platform brand is the only available trust mechanism. This institutional foundation is sufficient to generate first orders from explorer consumers willing to take the risk. As ratings accumulate, the trust architecture shifts: micro-level peer reputation gradually assumes the dominant role, and the platform brand recedes to a background institutional guarantee. At the mature stage, the business's own specific reputation supplements or replaces both. This sequential temporal structure is not captured by any existing trust framework, all of which address trust as a static set of mechanisms rather than a dynamic process that shifts in character across the stages of platform participation.

2.6 The Micro Geography of Food: Norrbotten and the Homogeneity of the Target Market

The preceding sections established a set of theoretical mechanisms, surrogate legitimacy, the food knowledge encoding problem, algorithmic traction, and the institutional trust architecture, in general terms, applicable in principle to any non-metropolitan platform market. Norrbotten provides the specific empirical conditions against which these general mechanisms must be examined. Three features of this context are theoretically significant. First, the homogeneity of Norrbotten's food culture intensifies the food knowledge encoding problem identified in Section 2.3, because the normative and cultural-cognitive knowledge required is narrower, more occasion-

specific, and less forgiving of error than in more diverse markets. Second, this same homogeneity limits the asset-of-foreignness that some scholars identify as a counterbalance to LOF in cosmopolitan settings, meaning the resolution mechanisms this study examines cannot rely on novelty-seeking consumer segments. Third, the absence of a local ethnic population supplying automatic demand means that the trust-building sequence theorised in Section 2.5.2, from institution-based to micro-level trust, must occur entirely within the mainstream Swedish consumer segment, with no preliminary phase of lower-stakes trust-building within an ethnic community segment. Norrbotten is therefore not merely a convenient research site; it is the context in which these theoretical mechanisms are most clearly observable because the usual buffers and alternatives are absent.

Every theoretical problem identified in the preceding sections, namely the food knowledge encoding problem, the algorithmic traction problem, the demand-side discoverability challenge, and the trust-building challenge, becomes more acute in Norrbotten. The theoretical questions are not different here, but the specific conditions of the local food market make the stakes higher and the margin for error smaller.

Luleå is the administrative and commercial centre of Norrbotten County, Sweden's northernmost county, with a total population of approximately 80,000 (Statistics Sweden 2023). Norrbotten's food culture is distinctively homogeneous relative to the more diverse food landscapes of large Swedish metropolitan cities. Consumers in Norrbotten share strong common attachments to specific, occasion-bound food traditions: the precise cakes and pastries associated with graduation celebrations, the specific foods associated with confirmation ceremonies, the established conventions of Midsummer food, and the deeply traditional Christmas food culture. As Lilius and Hewidy (2019) observe in their study of immigrant food entrepreneurship in Nordic contexts, the social meaning of food in Nordic contexts is deeply embedded in specific seasonal and ceremonial occasions, and departure from occasion-specific food conventions carries significant commercial and social costs.

The theoretical significance of Norrbotten's food culture homogeneity is that it simultaneously intensifies the LOF challenge and limits the asset-of-foreignness opportunity that some scholars identify in diverse metropolitan markets. Light and Gold (2000) and Rath and Kloosterman (2000)

document an asset of foreignness in cosmopolitan cities where consumers actively seek cultural diversity and novelty in their food purchasing. Mickiewicz et al. (2019) demonstrate that the commercial value of ethnic differentiation depends critically on the diversity of the local consumer base. In Norrbotten, where the consumer base is relatively homogeneous and culturally attached to established food traditions, the liability of foreignness is likely to be more commercially significant than any asset of foreignness.

There is one more dimension of the Norrbotten context that separates this study from virtually all prior research on immigrant food entrepreneurship: there is no local ethnic population supplying automatic demand here. In Stockholm or Gothenburg, an immigrant food entrepreneur can initially serve consumers from their own ethnic community while learning the Swedish mainstream market. In Luleå, that option does not exist. The immigrant community is too small and too fragmented across too many different nationalities to support any single food entrepreneur's business. From the first day of trading, the only viable customer base is mainstream Swedish consumers. Both barriers must be confronted simultaneously, without income security, without the social proof that a local ethnic community might provide, and without the gradual learning period that metropolitan immigrant entrepreneurs rely on.

2.7 Synthesis: Research Gap and Research Questions

The research gap that this study addresses emerges directly from the synthesis developed in the preceding sections. Sections 2.3 and 2.4 identified the food knowledge encoding problem and the algorithmic traction problem as specific manifestations of LOF and LOO for immigrant food entrepreneurs operating on managed ecosystem platforms. Existing research on non-traditional market entry modes (Brouthers et al. 2022) establishes the enabling function of these platforms, namely surrogate legitimacy, but has not been examined through the lens of these two specific problems, nor has it addressed whether and how surrogate legitimacy contributes to their resolution. Existing research on trust in digital platform markets (Gefen et al. 2003; McKnight and Chervany 2001; Pavlou 2003; Ramphal et al. 2026) establishes the mechanisms through which consumer trust is built in digital contexts but does not examine immigrant food entrepreneurs as a specific actor type, nor address the temporal dynamics of trust development across stages of platform participation for this actor. Existing research on bridging networks (Chipp et al. 2019)

provides the framework for understanding how platforms function as market entry mechanisms but does not distinguish between the bridging function that platforms provide and the bonding function that social media provides, nor address the structural power asymmetry that emerges when platform participation becomes effectively compulsory.

The empirical gap is established by the immigrant entrepreneurship literature. The foundational frameworks of Kloosterman et al. (1999), Kloosterman and Rath (2001), Light and Gold (2000), and Rath and Kloosterman (2000), are all grounded in metropolitan contexts with large local ethnic community, and none examine the structural condition of a complete absence of a local ethnic population supplying automatic demand that defines the Luleå context. Lilius and Hewidy (2019) provide the most geographically proximate study but examine cultural adaptation challenges rather than managed platform participation.

Schweizer (2013) explicitly calls for the extension of the LOF and LOO frameworks to smaller actors and digitalized market contexts. Coviello et al. (2017) argue that the foundational assumptions of the LOF and LOO frameworks require revision in the light of digital platform access mechanisms. This study performs that revision in the specific context of immigrant food entrepreneurship in a non-metropolitan Swedish market, the context in which the structural assumptions of both frameworks are most severely challenged.

The theoretical framework that guides this study is summarized in ***Figure 1***. The framework positions the liability of foreignness and the liability of outsidership as the two structural barriers that immigrant food entrepreneurs face when entering the Swedish mainstream consumer market. The managed ecosystem platform, specifically Foodora and Wolt in Luleå, is identified as the primary mechanism through which both barriers can be addressed. Three research questions emerge directly from this framework, each addressing a distinct dimension of the platform-mediated market entry process.

2.7.1 Conceptual Framework

The conceptual framework guiding this study, presented in Figure 2.1, is grounded in network theory (Granovetter, 1973, 1985). Immigrant food entrepreneurs in Luleå lack bonding social capital, the strong ties within an ethnic community that would normally support gradual market

entry, and must instead rely on bridging social capital, accessed through the managed ecosystem platform. The platform functions as a bridging network (Chipp et al., 2019) by providing surrogate legitimacy (Brouthers et al., 2022) and institutional trust (Ramphal et al., 2026), which together address the two structural barriers facing immigrant food entrepreneurs.

For the liability of foreignness, the platform enables the entrepreneur to mimic established competitors, access close market information, and deepen cultural learning, processes through which an asset of foreignness may potentially be developed. For the liability of outsidership, the platform enables connection to the consumer network, willingness to learn the platform's logic, and engagement with platform management requirements, processes that nonetheless occur within a structurally asymmetric power relationship between the platform and the supplier.

RQ1 examines the LOF resolution pathway, RQ2 examines the LOO resolution pathway, and RQ3 examines the trust-building process that underlies and connects both.

Graphical Conceptual Framework

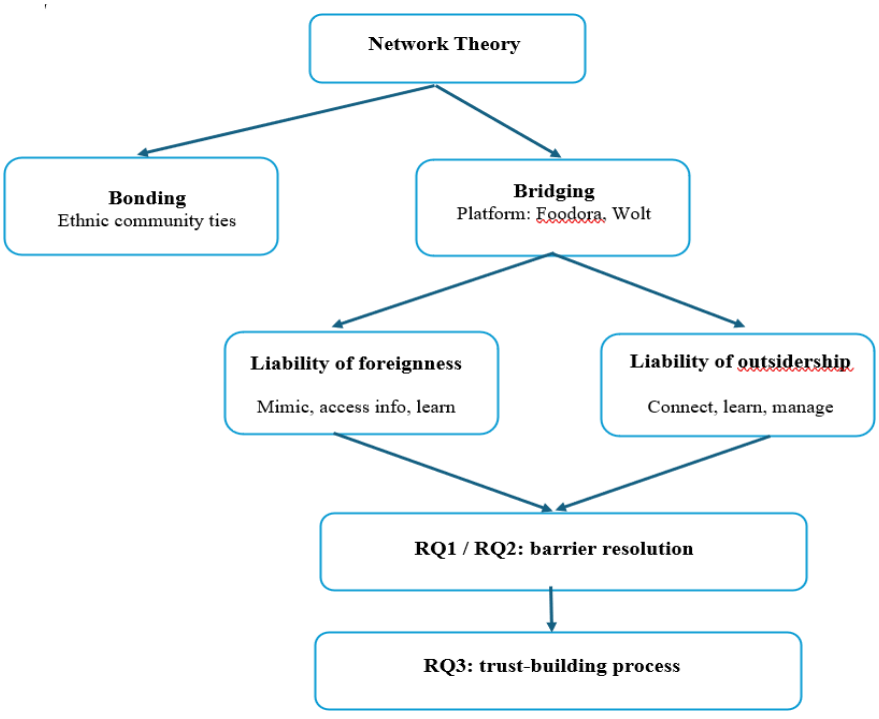


Figure 2.1 Graphical Conceptual Framework,

Source: Author's own development,

RQ1: How do managed ecosystem platforms help immigrant food entrepreneurs in Luleå overcome the liability of foreignness?

RQ2: How do managed ecosystem platforms help immigrant food entrepreneurs in Luleå overcome the liability of outsidership?

RQ3: How is trust between immigrant food entrepreneurs and local Swedish consumers built and developed through managed ecosystem platform interaction?

RQ1 addresses the food knowledge encoding problem: how platform data, social media observation, and direct consumer feedback enable immigrant food entrepreneurs to acquire the normative and cultural-cognitive food knowledge of Norrbotten's Swedish consumers, and what the limits of digital learning mechanisms are when food is a sensory product that resists digital encoding. RQ2 addresses the algorithmic traction problem: how immigrant food entrepreneurs break the circular dependency between ratings and orders, how the enabling and limiting functions of platform participation interact with demand-side consumer behavior patterns, and how algorithmic visibility is built from a position of structural outsidership. RQ3 addresses the trust-building process: how the four-scholar trust architecture, institution-based trust, peer reputation, risk reduction, and relational social media trust, operates sequentially across the stages of platform participation for immigrant food entrepreneurs in Luleå and how the distinction between bridging and bonding network functions determines what trust mechanisms the platform can and cannot provide.

CHAPTER 3: METHODOLOGY

"This chapter explains how the study is designed and why those design choices were made. The decisions described here did not emerge arbitrarily. They follow directly from the theoretical framework and the two specific problems identified in Chapter 2. The theoretical framework established that immigrant food entrepreneurs gain initial market access through surrogate legitimacy, which is the institutional credibility that platform listing provides in the absence of personal relationships and community reputation (Brouthers et al., 2022). Understanding whether and how this legitimacy mechanism operates in practice requires a methodology that can capture subjective experience, commercial learning, and adaptive behaviour over time. A study that asks how immigrant food entrepreneurs learn Swedish food culture through a platform, and how they gain algorithmic visibility with zero prior ratings, is asking qualitative questions about process and experience rather than frequency or quantity (Saunders, Lewis, and Thornhill 2016). This chapter works through the research purpose, the approach, the method, the sampling strategy, the data analysis process, the quality standards, and the ethical considerations, explaining at each step why each choice fits the problem this study is designed to address."

3.1 Purpose of the Study

Research purposes fall into three broad categories: exploratory, explanatory and descriptive (Saunders et al. 2016). The choice between them depends on what is and is not already known about the phenomenon under investigation (Bougie and Sekaran 2013). Where a great deal is already known, explanation or description may be appropriate. Where very little is known, or where what is known comes from contexts that do not apply to the situation being studied, exploration is the right starting point (Saunders et al., 2016).

This study is exploratory for three reasons that follow directly from the literature review. First, the specific combination of factors examined here - immigrant food entrepreneurs, complete platform dependency, non-metropolitan Swedish context, and simultaneous LOF and LOO without local ethnic population supplying automatic demand, has not been studied before (Coviello et al. 2017; Schweizer 2013) Second, the two theoretical problems this study addresses, the food knowledge encoding problem and the algorithmic traction problem are new conceptual contributions that have not previously been examined empirically. Third, the research questions ask how things happen

and what conditions shape them, not how much or how often. Questions of that form require exploration rather than measurement (Saunders et al., 2016).

Exploratory research is appropriate when there is a broad understanding of some aspects of a situation but significant uncertainty about how they work in practice (Bougie and Sekaran 2013). This study is precisely in that position. The theoretical framework in Chapter 2 establishes why the food knowledge encoding problem and the algorithmic traction problem exist.

3.2 Research Approach

3.2.1 Abductive Approach

This study adopts an abductive approach for a reason that connects directly to the theoretical framework in Chapter 2. Brouthers et al. (2022) propose that firms entering markets through managed ecosystem platforms may progress from a digital-only model in which the platform is the sole entry mechanism toward a hybrid approach in which platform participation is combined with social media engagement and other market-building activities. This theoretical proposition provided a starting point for the empirical inquiry: the study began with this progression as an informed theoretical expectation and examined whether and how it actually occurs for immigrant food entrepreneurs in Luleå. As interview data emerged, it was used not to confirm or reject this theoretical starting point but to examine where the proposition holds, where it breaks down, and what the data reveals that the theory does not anticipate. This is the iterative logic of abduction, cycling between theoretical frameworks and empirical data in a way that produces genuine theoretical advancement rather than mere confirmation (Dubois and Gadde 2002).

3.2.2 Qualitative Methodology and Multiple Case Study Design

Qualitative research focuses on exploring the lived experiences and perceptions of participants, using methods such as interviews, observations, and conversations to generate rich and contextually grounded accounts of the phenomena under investigation (Creswell and Creswell 2018; Malterud 2001). It is the appropriate methodology for this study for three interconnected reasons.

First, the research questions ask about process and experience rather than quantity. How does an immigrant food entrepreneur learn Swedish food culture through platform data? How do they gain algorithmic visibility with zero prior ratings? How does trust build between a previously unknown food business and Swedish consumers over time? These are questions about how things happen questions that require the kind of detailed, contextually specific description that only qualitative methods can produce (Creswell & Creswell, 2018).

Second, the phenomena this study examined are inherently subjective and context dependent. This study adopts an interpretivist ontological position, understanding social reality as constructed through the subjective experience and interpretation of participants rather than as an objective phenomenon that can be measured independently of those who experience it (Creswell and Creswell 2018; Saunders et al. 2016). The knowledge gap that immigrant food entrepreneurs face can only be accessed through their own accounts of how they experienced it, what they tried, what failed, and what they learned (Saunders et al. 2016). The algorithmic traction problem is similarly experiential. What matters is not the platform's algorithm in the abstract but how individual entrepreneurs experience and respond to algorithmic invisibility in practice. Qualitative methodology is the only approach that can access this kind of knowledge (Hignett & McDermott, 2015; Vaismoradi et al., 2013).

Third, each participating immigrant food business in Luleå was treated as a separate unit of analysis, enabling cross-participant comparison of how different entrepreneurs from different cultural backgrounds, with different food products and different lengths of platform experience, navigated the same structural challenges. This cross-participant comparison enabled the identification of patterns that are robust across contexts and divergences that reveal the conditions under which different outcomes emerge (Saunders et al., 2016). Nine interviews were conducted in total, a sample size consistent with established norms for semi-structured qualitative research and sufficient to reach theoretical saturation, the point at which new interviews no longer produce new themes or insights (Lincoln and Guba 1985).

3.3 Unit of Analysis

The unit of analysis defines what the study is examining and what counts as a unit of analysis (Saunders et al. 2016). In this study, the unit of analysis is the individual immigrant-owned food business operating as a supplier on Foodora or Wolt in Luleå. Each participating business is treated as a separate unit of analysis. The analytical focus is not on the individual entrepreneur as a person but on the food business, specifically how it operates on the platform, what decisions it makes about product adaptation and cultural learning, how it builds relationships with Swedish consumers, and how it develops the algorithmic visibility and trust capital that enable sustained market participation (Saunders et al., 2016).

3.4 Data Collection

The primary data collection method was semi-structured in-depth interviews with immigrant food entrepreneurs who were active suppliers on Foodora or Wolt in Luleå. Semi-structured interviews were chosen over structured interviews because the phenomena this study examined are too complex and too context-specific to be fully anticipated in a fixed question script (Creswell and Creswell 2018). The interview guide described in Section 3.7 provided the broad thematic structure that ensured all three research questions were addressed. The actual trajectory of each interview followed the participant's own narrative, allowing unexpected insights, critical incidents, and individually significant details to emerge without being suppressed by a rigid question sequence. This flexibility is precisely what makes semi-structured interviews the standard method for exploratory qualitative research in entrepreneurship contexts (Saunders et al., 2016; Wilson, 2014).

Before each interview began, participants were informed about the research purpose, the voluntary nature of their participation, and their right to withdraw at any time. Informed consent was obtained verbally from each participant before the interview began and consent to audio-record the interview was confirmed separately before recording began. Interviews were conducted in person at the location of the participant's choosing, typically their place of business. Interview duration ranged from fourteen to forty-two minutes, with a mean duration of approximately twenty-eight minutes. Full interview durations for all participants are recorded in Table 4.1. Every interview was recorded and transcribed verbatim, and transcripts were reviewed against recordings before analysis began to ensure accuracy (Saunders et al. 2016).

Interview data was supplemented by brief observation of each participant's platform listing on Foodora or Wolt. The current rating score and approximate review volume for each business were noted as a basic contextual indicator of each participant's current stage of platform participation. Full details of the rating and review data observed for each participant are recorded in Table 4.1

3.5 Population and Sampling

3.5.1 Population

The population for this study was immigrant-owned food businesses operating as active suppliers on managed ecosystem platforms, specifically Foodora or Wolt, in Luleå, Sweden. All businesses in this population were small and medium-sized enterprises as defined by the European Commission (2013): fewer than 250 employees and annual turnover below €50 million. The population consisted of immigrant-owned restaurant businesses that prepare meals to order for platform delivery. While some participants operated exclusively through platform delivery, others maintained a physical cafe or restaurant premises alongside their platform participation. The defining characteristic of the population was therefore not the absence of physical premises but the use of managed ecosystem platforms as the primary mechanism for reaching mainstream Swedish consumers.

According to (Euromonitor International 2024), the Swedish food service market comprised approximately 23,500 operators nationally. Statistics Sweden (2023) reported that approximately 11 percent of Luleå's population was born outside Sweden, suggesting a meaningful pool of potential immigrant food entrepreneurs within the platform-active supplier community. The precise population that meets all criteria, immigrant-owned, platform-active, food-producing, Luleå-based, was identified through the sampling process described below.

3.5.2 Sampling

Participants were identified and recruited through direct contact via the Foodora and Wolt platform listings, through local immigrant business networks, and through the researcher's own familiarity with the Luleå immigrant food business community. Where personal familiarity created a potential ethical dimension, specifically participants who were personally known to the researcher, the

distinction between the personal relationship and the research context was made explicit, and participants were assured of their genuine freedom to decline. Nine participants were interviewed in total, a sample size consistent with established norms for semi-structured qualitative research (Saunders et al. 2016) and large enough to enable meaningful cross-participant comparison while preserving the depth of analysis that the research questions require.

3.6 Data Analysis

Interview data was analyzed through thematic analysis, following the six-phase process developed by Braun & Clarke (2006). Thematic analysis was chosen because it is flexible enough to accommodate the unanticipated insights that exploratory qualitative research frequently generates, while remaining structured enough to ensure transparency, consistency, and analytical rigour throughout the process (Vaismoradi et al., 2013). Table 3.1 below summarizes how each phase was applied in this study.

Thematic Analysis Process

Phase	**Description**	**Application in This Study**
1. Familiarization	Reading and re-reading all transcripts to develop thorough knowledge of the dataset	All nine interview transcripts were read multiple times. Initial
2. Initial coding	Systematically assigning codes to segments of data with analytical significance	Each transcript was coded independently. Codes captured what was analytically interesting about each data segment

3. Theme development	Grouping codes sharing conceptual similarities into candidate themes	Codes were grouped into candidate themes representing coherent patterns of meaning appearing across multiple participants
4. Theme review	Testing candidate themes for internal consistency and external distinctiveness	Candidate themes were tested - to do all coded data within a theme belong together. Are themes sufficiently distinct from one another?
5. Theme definition	Clearly defining and naming each theme and mapping relationships between themes	Each theme was defined and named. Relationships between themes were mapped to produce the thematic framework presented in Table 4.2
6. Reporting	Forming themes into a logical narrative addressing each research question	Themes were organized around the three research questions and reported in Chapter 4

Table 3. 1 Six Phase Thematic Analysis Process:

sourse: Adapted from Branun and Clarke (2006)

The six phases were as follows. The first phase was familiarization: every transcript was read and re-read until the researcher had a thorough knowledge of the full dataset, noting initial observations and potential patterns. The second phase was initial coding: segments of data with definable analytical significance were systematically assigned codes, short labels that capture what is analytically interesting about each data segment. The third phase was theme development: codes that shared conceptual similarities were grouped into candidate themes, with each theme representing a coherent pattern of meaning that appeared across multiple participants. The fourth phase was theme review: candidate themes were tested for internal consistency, specifically whether all the coded data within a theme genuinely belonged together, and for external distinctiveness, specifically whether the themes were sufficiently different from one another to constitute separate analytical categories (Braun & Clarke, 2006). The fifth phase was theme definition: each theme was clearly defined and named, and the relationship between themes was mapped. The sixth phase was reporting: the themes were formed into a logical and cohesive narrative that addressed each of the three research questions in turn (Braun and Clarke 2006; Clarke and Braun 2017).

Analysis was conducted manually given the small dataset and the interpretative nature of the inquiry, which required sustained engagement with each participant's account in its full context (Braun & Clarke, 2006). To ensure coding consistency, each transcript was coded independently on two separate occasions, and the two sets of codes were reviewed for inconsistencies before theme development began. An audit trail documented all coding decisions and their justifications, providing a transparent record (Braun and Clarke 2006) linking the final themes to the raw data from which they were derived. The audit trail is presented in Appendix 2. A double coding comparison table is presented in Appendix 3.

3.7 Interview Guide

The interview guide was structured around the three research questions and followed the Long Interview approach recommended by McCracken (1988). Each main question was a broad, open invitation for the participant to narrate their own experience, with planned prompts used only where the participant needs encouragement or where a theoretically important area has not emerged naturally. The guide was an adaptable framework, not a fixed script *(Saunders et al.,*

2016). The researcher acted as a moderator, following the participant's narrative and using prompts to deepen or redirect the conversation where necessary.

The guide was organized into four thematic sections that followed the logical sequence of an immigrant food entrepreneur's journey: their background and how they came to Luleå and to food entrepreneurship; their experience of joining and using the platform; how they had learned about Swedish food culture and adapted their products; how they had built trust and relationships with Swedish consumers; and their overall reflection on what had worked and what had not. A closing section invited participants to add anything important that had not yet been covered. The full interview guide is presented in Appendix 1 and was developed in dialogue with a peer research group at Luleå University of Technology, whose feedback confirmed that the question format and level of depth were appropriate for the research context.

3.8 Quality Standards

Qualitative research is evaluated against criteria of trustworthiness rather than the reliability and validity measures of quantitative research. The standard framework is provided by Lincoln and Guba (1985), whose four criteria credibility, transferability, dependability, and confirmability are supplemented in this study by three additional standards drawn from Kvale (1995): accuracy, truthfulness, and usefulness.

3.8.1 Credibility

Credibility is the qualitative equivalent of internal validity, specifically the confidence that the findings accurately represent the phenomena under investigation (Lincoln & Guba, 1985).Credibility was established through several mechanisms. Open and non-leading interview questions allowed participants to define the terms of their own experience rather than responding to the researcher's assumptions. Triangulation, which combined interview accounts with observable platform data, provided independent corroboration of the findings. Member-checking, which involved sharing key findings with participants after analysis to confirm that their experiences had been accurately represented, caught interpretive errors before the final account was fixed. The researcher's shared immigrant background with participants enhanced rapport and access but also created potential for over-identification with participant perspectives. This was

managed through deliberate reflexivity, specifically by systematically testing interpretations against the theoretical framework rather than deriving them from personal experience, and by subjecting analytical claims to peer review within the LTU research group throughout the analysis process (Lincoln & Guba, 1985).

3.8.2 Transferability

Transferability is the qualitative equivalent of external validity, referring to the extent to which the findings can inform understanding in other contexts (Lincoln and Guba 1985). Qualitative research does not aim for statistical generalization, but it enables analytical generalization. The theoretical propositions developed from the findings can be applied to other contexts where the relevant structural conditions are similar (Saunders et al., 2016). This study provided thick description, offering detailed accounts of the Luleå context, the participating businesses, the data collection process, and the analytical framework that enabled future researchers and practitioners to assess the relevance of the findings to their own situations (Hannes, Lockwood, and Pearson 2010).

3.8.3 Dependability

Dependability is the qualitative equivalent of reliability, referring to the consistency and stability of the research process (Lincoln and Guba 1985). All interviews followed the same guide, all data was recorded and transcribed using the same procedures, and the coding framework was documented in detail. Double coding, which involved independently coding each transcript on two occasions, ensured that the application of codes was consistent across the dataset (Braun and Clarke 2006). The audit trail maintained throughout the study provided a transparent record of all methodological decisions. The full audit trail is presented in Appendix 2.

3.8.4 Confirmability

Confirmability is the qualitative equivalent of objectivity, referring to the extent to which the findings reflect the data rather than the researcher's own assumptions and biases (Lincoln and Guba 1985). The audit trail documented all interpretive decisions and their justifications, grounding every claim in specific data rather than in personal inference. The researcher's shared immigrant background with participants was acknowledged as a potential source of interpretive bias and was

managed through deliberate reflexivity. Interpretations were tested against the theoretical framework and against the full dataset rather than derived from the researcher's own experience.

3.8.5 Accuracy, Truthfulness, and Usefulness

Accuracy requires that findings represent participants' experiences without distortion (Hammersley 1992). All interviews were transcribed verbatim, transcripts were reviewed against recordings before analysis, and direct participant quotations were used throughout Chapter 4 to provide transparent links between raw data and interpretation (Braun and Clarke 2006). Truthfulness requires that all significant findings including those that challenge the theoretical framework were reported honestly (Altheide and Johnson 1998). This study commits to reporting the full complexity of what the data reveals, even where that complexity is theoretically inconvenient. Usefulness requires that the findings serve a genuine purpose for those who read them (Kvale, 1995). The findings of this study are designed to be useful to immigrant food entrepreneurs navigating platform markets in non-metropolitan Swedish cities, to platform operators seeking to understand the supplier experience, to policymakers supporting immigrant entrepreneurship, and to researchers developing theory about LOF and LOO resolution in managed ecosystem markets.

3.9 Ethical Considerations

This study was designed in accordance with the ethical principles of voluntary participation, informed consent, confidentiality, and academic integrity. All participation was voluntary. Before each interview, participants were fully informed about the purpose of the study, how their data would be used, and their right to withdraw at any time without consequence. Informed consent was obtained verbally from each participant before the interview began, and consent to audio-record the interview was confirmed separately. Participants were not offered any incentive for participation, ensuring that consent was genuinely voluntary.

All data was treated as strictly confidential. Participants were identified in the study only by codes, specifically Participant A, Participant B, and so on. No identifying information about any participant or their business appeared in any part of the thesis. Interview recordings and transcripts were stored securely on a password-protected device accessible only to the researcher. All

recordings were deleted upon completion of the thesis, and transcripts were retained only in anonymized form.

The researcher's familiarity with the Luleå immigrant food business community created a specific ethical consideration. Some potential participants were personally known to the researcher. In such cases, the researcher made the distinction between the personal relationship and the research context explicit from the outset and took particular care to ensure that participants felt genuinely free to decline participation or to withdraw from the study at any point without affecting their personal relationship with the researcher. This was documented as part of the consent process.

The researcher's own immigrant background and familiarity with the Luleå immigrant food community was acknowledged as a source of both strength and potential bias. Reflexivity in this study refers specifically to how this shared background may have shaped the interpretation of participant accounts. This was managed by systematically testing interpretations against the theoretical framework rather than deriving them from personal experience, and by subjecting analytical claims to peer review within the LTU research group throughout the analysis process (Lincoln & Guba, 1985).

All sources cited in this thesis are accurately referenced in accordance with APA format. No content from other researchers was presented as the researcher's own work. The study was developed under the supervision of Kerry Chipp at Luleå University of Technology, and the research design was developed in response to supervisor feedback and peer group review throughout the research process.

CHAPTER 4: EMPIRICAL DATA

The previous chapter explained how this study was designed and why those design choices were made. This chapter presents the empirical findings gathered through interviews with eight immigrant food entrepreneurs and one Foodora junior area manager for the northern region, based in Luleå. Direct quotes from participants are used where they best illustrate the findings, and these are presented in italics. The chapter is organized around the three research questions. It begins with a profile of the respondents, then presents the findings on how the platform helped participants overcome the liability of foreignness, the liability of outsidership, and the challenges of building trust with Swedish consumers. Two additional findings that go beyond the original theoretical framework are presented at the end of the chapter.

4.1 Respondents

Nine interviews were conducted in total: eight with immigrant food business owners in Luleå, and one with the Foodora junior area manager for the northern region. The eight food business owners all use Foodora or Wolt as their main route to Swedish mainstream customers, though as the findings reveal, not all of them joined the platform by choice. Each participant is identified by a letter code from A to I throughout this chapter. Table 4.1 gives a summary of all participants, including their platform use and social media presence.

Table 4.1: Anonymized Interview Summary

Respondents	Business type	Platform	Social media	Rating	Interview duration
A	Japanese restaurant	Foodora & Wolt	Not more active (Instagram + Facebook)	4.5★	30 mins

B	Thai restaurant	Foodora & Wolt	Present but inactive (Instagram + Facebook, posts only for special occasions)	4.4★	34 mins
C	South Asian restaurant	Foodora	Facebook (present)	4.3★	42 mins
D	Thai and Asian restaurant	Foodora	Not more active (Instagram)	4.4★	23 mins
E	Pizza restaurant	Foodora	Facebook (present)	4.2★	27 mins
F	International food	Foodora & Wolt	Not more Active (Instagram)	4.3★	16 mins
G	Junior Area manager north	Responsible for Foodora operations in the Luleå area	N/A	N/A	14 mins
H	Cafe and bakery	Foodora	Facebook + Instagram (active)	3.7★	36 mins
I	Pizza and spicy food	Foodora & Wolt	Not more active (Instagram)	4.3★	32 mins

Interviews opened with questions about how each participant came to Luleå, why they started a food business, and how they joined the delivery platform (see Appendix 1, Interview Guide). These opening questions produced some of the most analytically important data in the study, revealing patterns in prior experience that shaped participants' platform journeys. Several participants had worked in Swedish food service or as delivery riders before launching their businesses. That prior work experience, as the findings below show, shaped how difficult or easy th6e early stage of platform participation turned out to be.

Table 4.2 : Thematic Analysis codes and themes table

Liability of Foreignness (LOF)		
Open codes	**Secondary codes**	**Theme**
Spice calibration; allergy disclosure challenges; unfamiliar Swedish customer expectations; ingredient sourcing difficulties; customer complaints regarding spice; packaging failures for long-distance Delivery	Cultural-cognitive adaptation difficulties	Operational and cultural adaptation challenges
Feedback-driven recipe changes; packaging redesign; learning through platform reviews; social media observation; gradual adaptation over time	Platform-mediated adjustment	Platform-mediated cultural learning
Prior hotel work; delivery rider experience; long-term Swedish restaurant exposure; occupational knowledge	Pre-entry occupational exposure	Pre-entry experience as LOF moderator

Winter demand for spicy food	Climate-driven demand for distinctive cuisine	Asset of foreignness (AoTF) – seasonal
Liability of Outsidership (LOO)		
Limited social interaction with customers; unknown customer identity; weak platform-to-physical conversion; no special support for newcomers	limited opportunity to develop bonding ties	Transactional embeddedness
Visibility depends on prior orders; habitual customer reordering	Circular visibility dependency	Algorithmic visibility asymmetry
Fast-moving items shown first; newly registered businesses less visible; offer-based exposure	Algorithmic ranking disadvantage	Algorithmic visibility asymmetry
Differentiated cuisine more likely to appear; same-category businesses struggle for visibility	Category saturation effect	Algorithmic visibility asymmetry
Limited Swedish social networks; business-focused daily routines; adaptation without deeper local integration	Economic participation without social integration	Economic participation without social integration
Trust		

Platform listing increases visibility; customers can discover businesses through app registration	Initial platform-enabled legitimacy	Initial platform-enabled legitimacy
Reviews and ratings influence customer choice; review comments provide trust signals	Review-mediated trust formation	Review-mediated trust formation
Established businesses receive immediate orders due to prior reputation; platform trust strongest at entry stage, later replaced by business-specific reputation	Trust transition over time	Sequential trust development
Platform Learning and Adaptation		
Complaint-based learning; customer comments; no formal cultural guidance; trial-and-error adaptation	Reactive, informal learning	Reactive adaptation system
Social media observation; customer review analysis	Informal digital learning channels	Informal digital learning channels
Platform Economics and Sustainability		
30% commission concerns; dissatisfaction with charges; low profit margins	Commission pressure	Commission pressure

'Have to use platform'; competitors already present; inability to withdraw	Coerced participation	Coerced participation
Standard commission for most businesses; preferential treatment for large chains	Structural power imbalance	Structural power imbalance
Customer Behaviour		
Some customers search widely; others reorder familiar restaurants	Dual consumer ordering behaviour	Dual consumer ordering behaviour
Delivery charge sensitivity based on location; central businesses advantaged	Geographic platform advantage	Geographic platform advantage
Platform increases sales but not physical customer growth	Digital growth without local embeddedness	Digital growth without local embeddedness
Beyond the Framework		
Entrepreneurs busy with operations; limited direct customer relationship-building	Time and skill constraints	Operational isolation

Institutional neutrality toward immigrant businesses	Institutional neutrality	toward immigrant businesses

Source: Author's own development

4.2 Overcoming the Liability of Foreignness: Findings for RQ1

The findings for RQ1 were gathered by asking participants what they knew and did not know about Swedish food culture when they first joined the platform, how they learned what Swedish customers expected, and how useful the platform was in that learning process. The responses reveal a consistent pattern: the platform helps, but it cannot fully resolve the food knowledge encoding problem on its own, and how much it can help depends significantly on what the entrepreneur already knew before joining.

4.2.1 The Initial Knowledge Gap

All eight participants described, in different terms but with the same underlying structure, a gap between what they knew about their own food culture and what Swedish customers in Luleå expected. This gap was not simply about which ingredients to use. It extended to the sensory and cultural dimensions of food that resist digital encoding: how spicy a dish should be, how a portion should feel, how food should be presented, and which food products are considered appropriate for specific Swedish occasions.

Participant A came to Luleå as a student and worked in a hotel before opening the restaurant. That hotel experience provided meaningful exposure to Swedish food culture: what guests ordered, how they responded to different dishes, and what presentation standards they brought to a meal. But it did not close the knowledge gap entirely. The dimensions that remained unknown were precisely the ones the theoretical framework in Chapter 2 predicts are hardest to acquire through digital channels alone: the sensory calibration of flavor intensity and the occasion-specific conventions that define what legitimate Swedish food looks like in different social contexts. Participant A's case illustrates a recurring pattern across the dataset: pre-entry occupational exposure reduces but does not eliminate the food knowledge encoding problem, confirming Zaheer's (1995) framing of LOF as multidimensional rather than resolvable through any single mechanism.

Unlike most participants, B had operated a physical restaurant in Luleå for over two decades before joining the platform, meaning the food culture knowledge gap had largely already been resolved through years of direct consumer interaction. This prior embeddedness represents the most

significant LOF moderator in the dataset - more effective than pre-entry occupational exposure alone (as in A's case) because it involved full market presence rather than peripheral observation. What the platform revealed instead was a different and less obvious form of the liability of foreignness: not a gap in cultural knowledge about taste, but an operational gap about what happens to food during a delivery journey of up to thirty minutes.

"'The way that we package them at the start doesn't really work with the delivery. A lot of people live not in the city centre. They might be 30 minutes away. So some fried food. We have to rethink about the packaging at all.' – (Participant B)"

B's case therefore reveals a dimension of platform-mediated market entry that the theoretical framework did not anticipate: the delivery geography problem is not a liability of foreignness in the conventional sense (Zaheer 1995) but a form of operational outsidership – the entrepreneur's absence from the spatial and logistical network through which platform orders actually travel. This finding will be addressed further in the discussion.

Participant C represents the most extreme case of prior knowledge in the dataset. With 22 years of working experience in Swedish restaurants, including at one of the most highly regarded Indian restaurants in Europe and after opening 17 restaurants across different Swedish cities, he had, predictably, reduced the food knowledge encoding problem to near zero before the Luleå platform listing went live – an outcome consistent with the inverse relationship between accumulated market experience and LOF that existing theory would anticipate (Zaheer, 1995). What is more analytically interesting is the specific form of local knowledge C possessed that went beyond generic Swedish food culture. He also understood something about the Luleå market specifically that no platform data could have provided.

"'Spicy food, people like too much. Outside is too cold, it's always cold. When it's cold, people like Indian food, spicy food. Because outside is cold.' (Participant C)"

This climatic-cultural insight — that northern Swedish consumers have a stronger appetite for warming, spicy food than consumers in warmer Swedish cities — is exactly the kind of local market knowledge that the food knowledge encoding problem describes. This illustrates the limitation of the platform-data channel identified in Section 2.2.2: platform ratings record what

sold but do not explain why. Participant C understood the why before his first Luleå order, but not because the platform told him — his knowledge came from decades of direct, embodied exposure to Swedish consumer behaviour, the kind of deep cultural learning that the two-channel architecture (platform data plus social media observation) can only partially approximate for entrepreneurs without this prior experience. This finding does not contradict the evidence from Participant B that some Swedish consumers found certain dishes too spicy. The two accounts address different dimensions of the same market: Participant C describes the broader climatic-cultural appetite for warming food that makes Indian cuisine commercially viable in Luleå, while Participant B describes the precise spice calibration within that cuisine that still requires adaptation to Norrbotten consumer expectations. Both are true simultaneously and together they illustrate the layered nature of the food knowledge encoding problem: knowing that Swedish consumers like spicy food does not automatically mean knowing how spicy is right.

Participant D gave the most direct confirmation of the encoding problem's core limitation. When asked how the platform helps new businesses learn what Swedish customers require, the answer was unambiguous: registering on the platform does not teach you what Swedish customers want. The platform provides access to customers; it does not provide knowledge about them. This distinction between distribution and learning is the precise formulation of the food knowledge encoding problem developed in Section 2.2.2. Given that the platform-data channel was, by D's own account, ineffective for this purpose, the second channel identified in that section, social media observation, becomes theoretically important. However, D's social media presence was minimal (Table 4.1), meaning this second channel was also largely unavailable, leaving D more dependent on direct trial-and-error adjustment than the two-channel architecture anticipates.

A second and more interesting finding emerges from D's case: the cultural familiarity of the food type itself. Thai food and Indian food have a well-established presence in Swedish consumer culture; Swedish consumers have existing expectations about what these cuisines should taste like, independently of any individual business's reputation. This connects to the absence of a local ethnic population supplying automatic demand discussed in Section 2.6: where entrepreneurs in Stockholm or Gothenburg might draw on consumers from their own ethnic community, D's Luleå market instead offers something structurally analogous but distinct: a mainstream Swedish

consumer base that already has a category-level familiarity with Thai and Indian cuisine, independent of any ethnic community presence.

This looks like a second, different version of asset of foreignness from the one Participant C's case revealed. C's advantage came from Norrbotten's climate, cold weather creating demand for spicy food. D's comes instead from the cuisine itself having already become a familiar category across Sweden, including in places like Norrbotten where the food culture is otherwise homogeneous. Light and Gold (2000) and Rath and Kloosterman (2000) write about asset of foreignness emerging from consumers actively seeking diversity in cosmopolitan markets, and Mickiewicz et al. (2019) tie the value of ethnic differentiation to how diverse the local consumer base is. D's case points to something a bit different: a cuisine that has simply become normal in Sweden carries its own kind of advantage, one that does not depend on local diversity or on the season, and that exists before the individual entrepreneur even opens for business.

Participant F's business offers an internationally diverse menu with no single, established Swedish cultural reference point, placing F at the opposite end of the spectrum from Participant D. Where D benefited from Swedish consumers' existing familiarity with Thai and Indian food, F's offering had no equivalent category for consumers to draw on. This contrast suggests the food knowledge encoding problem is not uniform across cuisines, but depends on whether the cuisine itself is already part of the cultural-cognitive institutions Swedish consumers bring to a platform listing (Ramphal et al., 2026).

For D, this prior familiarity meant a platform listing — photos, a name, a star rating — was enough to activate an existing expectation, so the platform-data channel (Section 2.2.2) had something to work with. For F, no such expectation existed: platform feedback could show that something sold poorly, but not why, since there was nothing in consumers' existing cultural knowledge to compare it against. F's case therefore represents the food knowledge encoding problem in its most acute form, where even the limited learning the platform-data channel can normally provide is unavailable.

Participant H's account confirms D's central finding from the platform's own side: 'through the platform, we don't have anything to learn... we don't have a connection with the platform.' But H's case also reveals a learning channel the two-channel architecture in Section 2.2.2 does not include.

Because H operates a physical café alongside platform delivery, recipe adjustments came from direct, face-to-face customer feedback rather than from platform data or social media:

"'I made some changes to the recipe from the beginning because we can identify how customers are reacting to the food... that's the customers who came directly to me, who are meeting physically.' (Participant H)"

For H, then, the food knowledge encoding problem was resolved less through the platform's two channels than through a third one, physical co-presence with customers, available precisely because H's business retains a small physical footprint. This suggests the two-channel architecture may understate the learning options available to the subset of platform-dependent businesses that also have some walk-in or physical presence, while remaining accurate for businesses that are platform-only.

In summary, all participants experienced some version of the food knowledge encoding problem, but its severity varied considerably depending on prior experience. This is consistent with the theoretical account in Section 2.2.2: the platform's feedback and review mechanisms support partial LOF reduction, but the sensory dimension of food knowledge was never expected to be transmissible through digital channels alone. The themes identified were operational and cultural adaptation challenges, platform-mediated cultural learning, pre-entry experience as an LOF moderator, physical co-presence as a supplementary learning channel (Participant H), and, in two cases, an asset of foreignness arising either from seasonal demand (Participant C) or from the cuisine's existing cultural familiarity (Participant D).

4.2.2 Pre-Entry Learning: What Prior Employment Provides

The findings on pre-entry learning were gathered by examining what participants had done before launching their businesses and how that prior experience shaped their starting position. The empirical data confirms that prior experience exists on a gradient, and the position on that gradient at the point of market entry largely determines how much work the platform needs to do.

Participant A had two forms of pre-entry learning. Hotel work provided embodied knowledge of Swedish food culture, the kind acquired through direct daily participation in a food service environment that cannot be replicated through digital observation. Delivery rider work provided

platform operational knowledge: an understanding of how order flows work, how the algorithm responds to different conditions, and how the delivery geography of Luleå shapes what is practically viable. Both forms of knowledge gave Participant A an advantage at the point of market entry that participants who joined the platform without equivalent experience did not have.

Participant C had the deepest and most extensive pre-entry learning in the dataset: twenty-two years of prior restaurant work experience in Sweden, spanning multiple cities and including employment at the highest-rated Indian restaurant in Europe. By the time he opened in Luleå, the food knowledge encoding problem had been largely resolved through prior employment. The platform's information functions were commercially marginal rather than commercially essential for him, because the learning they are designed to provide had already happened.

The contrast between these cases and Participant F, who had no equivalent prior Swedish food service experience and faced the encoding problem in its most acute form, illustrates what pre-entry learning provides and what its absence costs. The platform's value as a learning mechanism, in turn, is highest for those who already have enough prior knowledge to interpret what its data is telling them.

Participant I had a similar, if less extensive, form of pre-entry learning to A and C. Around four years of prior work experience in Sweden, during which I built friendships with Swedish businesspeople, provided both informal cultural learning, including direct guidance on what Swedish customers expect from spicy food, and the social ties later described in Section 4.3.1 as easing I's entry onto the platform. I's case sits between A's (occupational exposure providing partial LOF reduction) and C's (extensive prior experience providing near-complete LOF reduction) on the gradient described at the start of this section.

In summary, prior employment in Swedish food service is the most effective single mechanism for reducing the liability of foreignness before platform participation begins. The longer and more relevant the prior experience, the smaller the encoding problem at the point of market entry. The themes identified were pre-entry experience as LOF moderator and platform operational knowledge from delivery rider work.

4.2.3 Learning Through the Platform and Social Media

Participants were asked how they used platform feedback and social media to learn about Swedish food culture over time, and what the limits of those learning channels turned out to be.

The platform's most useful learning mechanism was not the aggregate rating score but the specific text of customer reviews. The rating score is a commercial performance indicator. The review text is a cultural feedback mechanism. Participant B described how a single piece of specific feedback that the chili chicken dish was too spicy by Swedish standards triggered a product adjustment that improved both the rating and the customer experience.

"The feedback, the comments that we get from the app. Some are like, yeah, the food is good, but it's a bit too spicy. So, next time, if you order that, you should say milder or something like that. So, we kind of have to adapt to that.' (Participant B)"

Participant D confirmed this mechanism simply: customer comments led to changes in the food's taste. What makes this finding analytically important is the contrast with Participant F, who described adapting only in response to complaints rather than actively seeking cultural calibration through all available feedback channels. The platform provides the same data to both businesses. What differs is how actively and interpretively each entrepreneur engages with that data.

Social media observation functioned as a second and complementary learning channel for several participants. Participant B described systematic observation of Swedish bakeries and food businesses on Instagram. Studying how graduation cakes are decorated, what visual conventions Swedish celebration food follows, and how different products are described in the Swedish cultural context. This visual and contextual cultural knowledge addressed a dimension of the food knowledge encoding problem that platform review data cannot reach.

The limit that both channels share is the sensory dimension of food cultural knowledge. Platform data and social media images can tell an entrepreneur a great deal about the commercial and visual aspects of Swedish food culture. They cannot communicate flavor, texture or the embodied sense of what Swedish food is supposed to feel like. That knowledge requires direct participation in Swedish food culture over time.

In summary, platform review text and social media observation together provide a two-channel learning architecture that can meaningfully reduce the liability of foreignness, but neither channel can resolve the sensory and deeply cultural dimensions of food knowledge that digital data cannot encode. Active engagement with feedback is more effective than passive receipt of it. The themes identified were platform-mediated cultural learning and informal digital learning channels.

4.3 Overcoming the Liability of Outsidership: Findings for RQ2

The findings for RQ2 were gathered by asking participants about their early experience of platform visibility, how they obtained their first orders, and what the platform's design contributed to or prevented in that process. Participant G, the Foodora area manager, was specifically asked about the platform's mechanisms for new suppliers and how the algorithm works.

4.3.1 The Circular Problem in Practice

The circular problem, you cannot get ratings without orders, and the algorithm will not generate orders at scale without ratings, was described by every participant who had entered the platform without an established local reputation, exactly as predicted by the circular problem theorized in Section 2.4.1. The platform's recommendation algorithm shows businesses with higher order volumes and ratings more prominently. New businesses with no order history appear lower in search results, a direct consequence of the platform's design.

Participant E described the situation with directness, in terms that map closely onto the concept of channel power: the capacity of one party in a supplier-buyer relationship to influence the other's behavior because the dependent party has no viable alternative (Section 2.4.3's discussion of platform power asymmetry; (Stallkamp and Schotter 2021).

> *'They are stronger than you, so you can't do anything. I don't want to do that, but I have to because most of the restaurants and pizzerias, they have it.' (Participant E)*

This is not simply a complaint about cost. E's framing, 'stronger than you, so you can't do anything', describes a structural condition in which the platform sets terms unilaterally and the supplier has no countervailing power, the defining feature of channel power asymmetry. While Section 2.4.3 established that platform participation had become a competitive compulsion, E's account adds a

further dimension: even after participation becomes compulsory, the supplier retains no ongoing mechanism to negotiate or push back, because the platform's scale relative to any individual supplier is so large that exit, for E, briefly tried with one platform, carries negligible consequences for the platform but significant consequences for the business.

Participant G, the Foodora junior area manager, provided an institutional perspective that speaks specifically to questions of agency: the algorithm acts as an agent making allocation decisions on behalf of the platform, according to a logic that individual suppliers can neither observe nor influence. When asked whether any special mechanism exists to help newly registered businesses gain initial visibility, the answer was unambiguous: no such mechanism exists. All businesses start on the same algorithmic terms.

'Fast-moving items are shown to customers first.' (Participant G)

This single sentence confirms the rich-get-richer dynamic theorized in Section 2.4.1 (Stallkamp and Schotter 2021): algorithmic visibility is allocated on the basis of order volume, which means a business's position in the ranking is itself a function of its past success, with no separate allowance made for businesses that have not yet had the chance to generate that success. For a new immigrant food business with no order history, this is the circular problem in its purest institutional form, stated not as a consequence inferred from outcomes, but as a description of how the algorithm is designed to work.

Participant G's account of consumer behavior confirms, from the platform's own operational perspective, the demand-side dimension theorized in Section 2.4.2 (Gefen et al. 2003). Most platform consumers are habitual: they reorder from places they have ordered from before and were satisfied with. A smaller segment consists of explorer consumers, who actively search for new businesses. By definition, habitual consumers are not part of the addressable market for a new entrant; whatever exposure a new business receives can only come from the explorer segment.

Some customers usually order what they previously ordered and were satisfied with. So the system shows recently more-bought places to help customers.' (Participant G)

Taken together, these two institutional facts compound rather than simply add to one another. The supply-side ranking logic means new businesses are shown less often; the demand-side behavior

pattern means most consumers are not looking for new businesses even when they are shown. The result is a double exclusion: the majority of the platform's consumer base is algorithmically directed away from new businesses on one side, while simultaneously being behaviorally uninterested in discovering them on the other. New immigrant food businesses can only reach the explorer consumer minority, and only through the platform's surrogate legitimacy, the single mechanism (Section 2.2.1) available to bridge this gap. This double exclusion is arguably the most precise institutional description of the circular problem obtained in this study, and it suggests that the circular problem is not one barrier but two overlapping ones operating simultaneously.

Participant H's experience confirms G's institutional account from the supplier side. H described receiving zero orders in the first month after registering with the platform:

'First month, even I didn't get one single order from the Foodora... even though we thought that the platform will do the marketing for us to the customers, that's not happening actually.' (Participant H)

Faced with this, H adopted a strategy outside the platform's own logic: offering discounts to attract the first orders that the algorithm would not otherwise generate.

'It was not popular among the customers. Even though we registered with the platform, then I had to even give a discount to the customers.' (Participant H)

This represents a self-funded workaround to the circular problem: rather than waiting for the algorithm to generate initial traction, H absorbed a margin cost to manufacture the first orders and reviews needed to begin the cycle G described. This adds a new dimension to the circular problem: breaking it is not purely a matter of time, but can require the entrepreneur to bear a direct financial cost that the platform's design does not account for.

I's case looked different from H's. There was no period of zero orders. Part of the reason seems to be that I already had a Swedish friend, a businessman, who vouched for the platform before I joined:

'When you are registered with Foodora, you can get more customers. Then the customer will know about you.' (Participant I, reporting his friend's advice)

I had also built up a small base of regular phone orders before registering. So registration did not create visibility from nothing, as it did for H; it added to visibility that already existed through a personal tie. This is the bridging mechanism from Section 2.2.1 (Chipp et al. 2019) working in reverse order from how the framework describes it: rather than the platform substituting for an absent social tie, here an existing tie (a Swedish friend with business experience) smoothed the entrepreneur's entry onto the platform itself. Where Section 2.3.1 (Granovetter 1973; Putnam 2000) treats bonding ties as something the platform cannot provide, I's case suggests bonding ties that exist prior to platform entry can do some of the work the algorithm's cold-start logic would otherwise block.

I also used discounting, similar to H, but for a different purpose: rather than manufacturing a first order from nothing, I used it to convert an already-visible listing into repeat business, suggesting discounting serves at least two distinct functions in this dataset, breaking the cold start (H) and accelerating growth once visible (I).

In summary, the circular problem is a structural feature of the platform's algorithmic design, confirmed by the platform manager. The absence of any new-supplier support mechanism, combined with habitual consumer ordering patterns, makes the early stage of platform participation commercially precarious for businesses entering without an established reputation. Themes identified were circular visibility dependency, and algorithmic visibility asymmetry, channel power asymmetry (Participant E), and pre-existing bridging ties as a circular-problem moderator (Participant I).

4.3.2 Breaking the Circular Problem: Three Pathways

‘Despite the structural difficulty of the circular problem described above, every participants eventually built sufficient review volume to gain algorithmic visibility. How this happened, given the double exclusion identified in Section 4.3.1, is arguably the most analytically significant finding in this dataset: it shows not merely that the circular problem exists, as theory predicts, but how it is broken in practice. Cross-case comparison reveals three distinct pathways through which participants achieved this.

The first pathway is the bridge strategy. Participant A asked personal contacts friends, acquaintances, and fellow students to order through the platform and leave honest reviews. This was not about generating income from those orders. It was about manufacturing the platform evidence the algorithm required before it would direct mainstream Swedish consumers to the business. After approximately twenty to thirty reviews, organic consumer discovery began. The platform brand trust that Ramphal et al. (2026) identify as the mechanism enabling initial consumer engagement provided the credibility that made these first orders from personal contacts plausible: the platform name gave even known contacts confidence that the business met basic quality standards.

The Foodora manager identified a second, institutionally provided pathway, distinct in kind from the first: the offers and discounts section. Unlike the personal-network seeding pathway, which relies on social ties and is free, this is a conventional, paid marketing mechanism built into the platform itself. New businesses that create a promotional offer can appear in this section without depending on prior order history, offering an institutional route around the cold-start problem that does not require any pre-existing network.

However, none of the entrepreneur participants described using this mechanism. This points to a distinction worth drawing out. The food knowledge encoding problem discussed in Section 4.2 concerns the entrepreneur's knowledge of Swedish food culture, that is, liability of foreignness with respect to the host market. The gap suggested here is different: it concerns the entrepreneur's knowledge of the platform's own institutional features, its tools, options, and rules. If participants were unaware of the offers section, this represents a liability of foreignness towards the platform as an institution in its own right, separate from liability of foreignness towards the Swedish market. Alternatively, if participants were aware of it but judged that an additional discount on top of the existing 30% commission was not financially viable, this connects to the structural power asymmetry discussed in Section 2.4.3 and Participant E's account in Section 4.3.1: the platform offers a tool for visibility, but only at a further cost to the supplier's already-thin margins. Either explanation points to a limitation in how the platform's institutional design serves new immigrant suppliers, and the distinction between liability of foreignness towards the host market and liability of foreignness towards the platform itself offers a useful direction for future research.

The second pathway is the pre-existing reputation mechanism, and in some respects it is the least surprising of the three. Participant B did not experience the circular problem at all. The restaurant had operated in Luleå for over two decades before joining the platform, with an established offline customer base and the kind of passing foot traffic that comes with a long-standing physical presence. When the Foodora listing went live, this existing reputation transferred immediately into platform orders.

What makes this pathway worth stating explicitly, rather than simply noting as an obvious baseline, is what it reveals about the LOF-to-platform distinction introduced above. Where new entrants may face a liability of foreignness with respect to the platform itself, not knowing its tools, options, or how it works, B's case shows the inverse. B's existing customers already had the habit of ordering from B specifically. When B appeared on the platform, these customers were not discovering a new platform feature; they were finding their existing, habitual choice in a new place. The platform did not need to build awareness of B, because B's customers already had it. In this sense, an established local brand functions as a substitute for platform-specific awareness on the demand side, just as, in Section 4.2.1, prior occupational experience functioned as a substitute for platform-mediated cultural learning on the supply side.

'We have been there for a very, very long time and people know about that. Some of the people who just installed the app, they were like, oh, [the restaurant] is here too. Let's order.' (Participant B)

"It's because of our reputation. I think it might be that more than Foodora itself."-Participant B

B's case is not an exception to the circular problem; it is the same mechanism viewed from its advantaged end. The rich-get-richer dynamic confirmed by Participant G in Section 4.3.1, that algorithmic visibility is itself a function of past order volume, applies to B as much as to any new entrant. The difference is where each business starts on that circle. A new entrant with zero reviews starts at the bottom of a self-reinforcing loop in which low visibility produces few orders, which produces continued low visibility. B, by contrast, entered the platform already positioned at the top of the same loop: two decades of offline reputation meant B's existing customers generated orders and reviews from day one, which the algorithm then rewarded with greater visibility, generating further orders. The circular problem, in other words, is not a barrier that some

businesses face and others do not; it is a structural feature of the platform that compounds whatever position a business holds at the point of entry, disadvantaging those who enter with nothing and advantaging those who enter with an existing reputation.

The third pathway is small-city community curiosity. Participant C described a phenomenon specific to Luleå's size and social connectedness: when a new restaurant opens in a city of eighty thousand, word travels quickly through community networks. A new food business is community news in a way it would never be in a larger city.

'When you open one restaurant, one city, city is very small. This is coming in newspaper, commune, Facebook, everything. This is direct coming, it's free costing. After, you know, this is a small city. And you open before, everybody knows.' (Participant C)

This phenomenon operates primarily offline: it describes how quickly a new business attracts physical, walk-in attention in a small city. Its relevance to the circular problem lies in what this offline attention does for platform visibility. Some of the customers drawn in by this curiosity are also platform users, and their early visits can translate into early platform reviews, generating the review volume the algorithm requires more quickly than would occur in a larger, less socially connected market. In this sense, small-city curiosity functions similarly to the personal network seeding pathway, both accelerate the accumulation of initial reviews, but through different mechanisms: one through deliberately asking contacts to order via the platform, the other through the ordinary visibility that comes from opening a new business in a small, socially connected city.

In summary, three pathways for breaking the circular problem were identified: the personal network seeding strategy, the pre-existing reputation mechanism, and the small-city community curiosity. Each addresses the circular problem through different means, but all three operate by generating the review volume the algorithm requires more quickly than the platform's default cold-start process would allow, whether through deliberately mobilizing personal contacts, drawing on an existing offline reputation, or benefiting from the heightened visibility a new business receives in a small, socially connected city. The pre-existing reputation mechanism also illustrated that the circular problem is not a barrier some businesses face and others do not, but a single structural feature of the platform that compounds whatever position a business holds at the point of entry. The themes identified were personal network seeding, pre-existing reputation as a circular-

problem advantage, small-city community curiosity, and a liability of foreignness towards the platform itself, distinct from liability of foreignness towards the host market

4.3.3 Building Algorithmic Visibility Over Time

Once the initial review threshold was crossed, through whichever pathway applied, participants described the same self-reinforcing dynamic: ratings generated visibility, visibility generated orders, and orders generated further ratings. At this point, the business entered the algorithm's own self-reinforcing logic, the same logic that, as Section 4.3.2 showed, had previously worked against it..

Participant G added a separate institutional qualification: rating threshold that on the platform have risen over time. A score of 4.0 may once have been considered acceptable; with the most established businesses now scoring 4.6 and above, the same numerical score carries less weight for a new entrant than it once did for an earlier one. This points to a form of rating inflation in the platform's review system: as the overall distribution of ratings shifts upward over time, a given score represents a lower relative standing than it previously did, independent of any change in the underlying quality of the business.

In summary, once sufficient reviews are collected, the platform's algorithmic logic works in favor of the business rather than against it. Separately, rating inflation across the platform means that new entrants face a higher effective bar than earlier entrants did, even where the platform's nominal scoring scale has not changed. The themes identified were algorithmic visibility asymmetry and rating threshold inflation.

4.4 Building Trust with Swedish Consumers - Findings for RQ3

The findings for RQ3 were gathered by asking participants how they built trust with Swedish customers through the platform, what mechanisms they found most important, and how their approach to trust-building changed over time. The platform manager was asked about the institutional trust mechanisms the platform provides and the consumer behavior patterns the platform observes.

4.4.1 Micro-Level Trust: Peer Ratings as the Primary Mechanism

Every participant confirmed that peer ratings and review text are the primary mechanism through which Swedish consumers in Luleå decide whether to place an order with an immigrant food business they have not encountered before. This finding is consistent across all six entrepreneur accounts and confirmed by the platform manager. It aligns directly with (Ramphal et al. 2026) finding that micro-level peer reputation is the dominant institutional trust driver in digital platform markets.

Participant C, with his extensive experience, described trust as something that flows first from the quality of the food itself from his own judgment of whether the food is good enough to serve.

'I trust myself. If I make something, I eating, I tasting, if I thinking it's good, people can eat. If I say that I make food, I cannot eat, people cannot eat.' (Participant C)

Participant E's account of the platform's commercial terms was the most critical in the dataset. Three of the eight entrepreneur participants independently raised the 30% commission as a financial problem. Participant E also described a specific incident in which the platform applied a promotional discount to an order without prior agreement:

'They charge from us, they charge from the customer as well. They charge for the delivery. I called them and I ask them, what is it? They give a discount mine is 20 crowns. They said this is the discount for the delivery. I said, I didn't agree with you. You didn't ask me anything about it. I already paid 30%.' (Participant E)

This incident extends the channel power asymmetry described in Section 4.3.1: the platform not only sets the commission rate unilaterally, but can also apply further deductions to individual transactions without the supplier's prior agreement, deductions the supplier discovers only after the fact.

The Foodora manager confirmed that 30% is the standard commission rate for all suppliers except major national chains, who receive different terms. This is not an individually negotiable arrangement; it is the platform's standard financial model, applied uniformly to the immigrant food businesses that, as Section 4.3 showed, depend on the platform as their primary route to visibility in the Swedish market. Read together, Participant E's account and the manager's confirmation show channel power operating at the level of commercial terms as well as algorithmic visibility:

the same asymmetry that determines who gets seen also determines what suppliers are charged, and on what basis those charges can change

In summary, peer ratings are the primary consumer trust mechanism on the platform. Three of eight participants, together with the platform manager, together with the platform manager, confirmed the 30% commission as a source of financial pressure, and Participant E's account of an unagreed deduction illustrates how the commission structure operates as a further dimension of the channel power asymmetry identified in Section 4.3.1. The themes identified were review-mediated trust formation, commission pressure, and channel power asymmetry.

4.4.2 Meso-Level Trust: The Platform Brand as Starting Point

Before any peer ratings exist, the only trust signal available to a new immigrant food business is the fact of its listing on a recognized platform. Swedish consumers trust Foodora and Wolt. Being listed on either platform signals to consumers that the business has met basic quality and safety standards, even if no individual consumer has previously purchased from it. This is the surrogate legitimacy mechanism that Brouthers et al. (2022) identify and that Ramphal et al. (2026) also describe, and the empirical findings confirm that it is commercially operative in the Luleå market. The Foodora manager confirmed this mechanism directly.

'By registering, every person can see the business.' (Participant G)

Participant B explained how this worked in the context of high-stakes occasion food, where the consumer's purchase decision involves significant social risk.

'For a graduation cake, the customer is taking a risk. It is an important day you cannot order a bad cake for your child's graduation. When I was new on Wolt, I had only a few reviews. But the customer could see: this business is on Wolt. Wolt has standards. Wolt would not list a business that is unreliable. That trust in Wolt in the platform itself was what gave the first customers the confidence to order from me.' (Participant B)

Platform brand trust operates most powerfully at the very beginning of a business's platform life, before peer ratings have accumulated. Once reviews are building and the business has an established rating, consumers rely primarily on that rating rather than on the platform brand, and

the platform brand becomes a background institutional guarantee rather than the active trust driver. This shift is itself a positive feedback loop of the kind already identified in Section 4.3.3: platform brand trust enables the first orders, those first orders generate the peer ratings that consumers then come to rely on instead, and as reliance on ratings grows it further reinforces the business's own accumulating reputation. The same self-reinforcing dynamic that drives algorithmic visibility therefore also drives the transition between these two trust mechanisms. This adds specificity to (Ramphal et al. 2026) framework.

In summary, the platform brand provides the initial trust foundation that makes first consumer engagement possible, a finding consistent with both Brouthers et al. (2022) and Ramphal et al. (2026). It is most important before peer ratings exist and gradually becomes less central, in a self-reinforcing pattern, as ratings accumulate. The themes identified were initial platform-enabled legitimacy and sequential trust development.

4.4.3 Social Media and the Relational Dimension of Trust

Several participants described an awareness that the platform's transactional trust architecture, ratings, reviews, and algorithmic recommendation, has a ceiling. Beyond this ceiling, what is missing is not more trust of the same kind, but a different kind: an interpersonal connection between the entrepreneur and the consumer as individuals, rather than between an anonymous business and an anonymous customer. Social media emerged as the mechanism through which participants attempted to build this.

Participant B articulated the distinction with particular clarity.

'On Foodora I am a restaurant. On Instagram I am a person. The customers can see me cooking, they can see where the ingredients come from, they can see how much I care about the food. Some customers follow us for months before they order. When they finally order, they already trust us' (Participant B)

This is a different form of micro-level trust from the one discussed in Section 4.4.1. There, micro-level trust referred to the aggregate judgement of many anonymous reviewers. Here, it refers to trust formed through direct, individual familiarity with the entrepreneur as a person rather than with the business as a category.

Participant F identified a structural reason why this relational dimension is difficult to build through the platform alone. On the platform, the business's food is visible to customers, but the people behind the business are not visible to customers, and at the same time, customers are not visible to the business.

'We don't know who the customers are. Can customers coming to us or not.' (Participant F)

Participant D's account in Section 4.2.1 confirms the second half of this from a separate case: D similarly described having no information about who was ordering, or whether an order came from a new or returning customer. Read together, F and D's accounts suggest that supplier-side consumer anonymity is a structural feature of the platform's transactional model, consistent with Section 2.3.1's argument that the kind of bonding tie described by Granovetter (1973) and Putnam (2000) requires ongoing interpersonal contact that a one-off, anonymous platform transaction does not provide.

Social media offers one possible route around this anonymity, creating a channel through which customers can choose to make themselves known to the business, as B's account illustrates. Whether this works in practice may depend on how actively a business maintains its social media presence; D's minimal presence, noted in Section 4.2.1, suggests this channel is not equally available to all participants.

Participant A, who had not yet adopted social media at the time of the interview, identified wider visibility, going viral' in the participant's own words, as the biggest remaining challenge for the business. The relational trust ceiling is visible here: the platform has taken the business as far as the it can, and what remains is the relational layer that social media engagement alone can provide.

In summary, social media engagement addresses a relational dimension of trust, interpersonal and individual, that the platform's transactional architecture does not provide. Supplier-side consumer anonymity, confirmed across multiple cases, is a structural feature of the platform consistent with the limits of bonding social capital discussed in Section 2.3.1. The themes identified were relational trust formation through social media and supplier-side consumer anonymity.

4.5 Findings Beyond the Theoretical Framework

Consistent with the abductive approach outlined in Chapter 3, two findings emerged from the interviews that the theoretical framework developed in Chapter 2 did not anticipate. Rather than forcing these findings into that framework, they are presented here as emergent: their significance lies precisely in what the existing framework cannot account for, and in what new theoretical work they suggest is needed.

The first is the Luleå labor market. Participant C, the most experienced entrepreneur in the dataset, described a personnel crisis that had forced the restaurant to close for two to three months and was, at the time of the interview, threatening the long-term viability of a business whose consumer-facing market integration was otherwise highly successful.

'Lulio is not, restaurant business finish. It's very tough. I have no restaurant. Closed two month, I have no people. Maybe I sold tomorrow.' (Participant C)

This labor shortage can be understood through the institutional environment of Norrbotten itself: a thinly populated, geographically isolated, cold region that workers from warmer parts of Sweden, and from warmer countries, are often reluctant to relocate to. Where Sections 4.2 and 4.3 examined liability of foreignness and outsidership in the consumer market, C's account points to an analogous liability operating in the labor market. An immigrant-owned restaurant in Norrbotten faces not only the challenge of attracting Swedish customers, but also the challenge of attracting workers to a remote location with a difficult climate, a liability of foreignness as an employer, distinct from the liability of foreignness as a supplier that has been the focus of this chapter so far. A business can have a 4.3-star rating and a loyal Swedish consumer base, built through the mechanisms described in Sections 4.2 to 4.4, and still be unable to operate because there is nobody available to cook the food. This labor-market liability operates independently of, and is unaffected by, the consumer-facing mechanisms that are this chapter's main focus.

The second finding concerns the financial and power relationship between the platform and the immigrant food businesses that depend on it. Participant E did not join the platform as a strategic market entry decision. The business existed before the platforms arrived. It joined because the competitive landscape of the Luleå food market made non-participation commercially equivalent to exit.

'I don't want to do that, but I have to because most of the restaurants and pizzerias, they have it. Something we have to do it.' (Participant E)

What makes this significant is what it implies about the competitive dynamics of a local food market once platform adoption passes a certain threshold. Once most competitors in a market are listed on a platform, and once, as Section 4.3.1 showed, platform consumers increasingly default to ordering through these apps rather than by phone or in person, a business that remains off the platform is not simply choosing a different strategy from its competitors; it is becoming invisible to a growing share of the local market's ordering behavior. Non-participation, in other words, does not preserve the status quo. As the competitive landscape shifts around a non-participating business, standing still relative to a market that is moving onto the platform has the same practical effect as exiting that portion of the market voluntarily would. For an established business like E's, with two decades of reputation built before platforms existed, this meant that platform participation became commercially necessary not because the platform offered something E wanted, but because its absence would have meant ceding ground that competitors were actively claiming.

Participant E gave direct advice to any new immigrant food entrepreneur considering a platform-dependent business model.

'My advice is if you can't [sustain] the business, don't start it. If you're going to start with the help of the Foodora, with the help of Volt, Uber, don't do it. It's lots of money, especially in Sweden. We have lots of taxes.' (Participant E)

In summary, two structural barriers operate outside the theoretical framework: the Luleå labour market thinness, which can force successful businesses to close despite strong consumer demand; and the structural power imbalance between the platform and small immigrant food businesses, which makes participation effectively compulsory and commission rates non-negotiable. Themes identified were coerced participation, structural power imbalance, and commission pressure.

4.6 Chapter Summary

This chapter has presented findings addressing each of the three research questions in turn. For RQ1, the food knowledge encoding problem was confirmed across all participants, but its severity depended heavily on prior occupational experience, with platform feedback and social media providing only partial, and sometimes minimal, support for closing this gap. For RQ2, the circular problem predicted by the theoretical framework was confirmed by both entrepreneurs and the platform manager, but the cross-case comparison also revealed three distinct pathways, personal network seeding, pre-existing reputation, and small-city community curiosity, through which participants broke out of this cycle. For RQ3, trust was shown to operate in stages: platform brand trust enables the first orders, peer ratings then become the dominant mechanism, and a separate relational dimension of trust, addressed primarily through social media, remains largely outside the platform's reach. Beyond these three research questions, two further findings emerged through the abductive approach described in Chapter 3: a labour-market liability distinct from the consumer-market liabilities that are this thesis's main focus, and a structural power asymmetry that makes platform participation commercially compulsory for small immigrant food businesses regardless of their own preferences. Together, these findings provide the empirical basis for the discussion in Chapter 5, which considers their implications for the theoretical framework set out in Chapter 2.

CHAPTER 5: DISCUSSION

This chapter discusses the empirical findings from Chapter 4 in relation to the theoretical framework established in Chapter 2, organized around the three research questions. For each research question, the discussion considers, in turn, findings that confirm existing theory, findings that extend or add specificity to it, and findings that the existing framework did not anticipate. The liability of foreignness framework (Zaheer 1995), the liability of outsidership framework, and Ramphal et al.'s (2026) institutional trust model all receive empirical support from the data, in the sense that the mechanisms these frameworks describe were observed operating as predicted. At the same time, several findings reveal dimensions of these problems that the existing literature addresses only partially, or not at all, and two findings, discussed in Section 5.5, fall outside all three frameworks entirely. The chapter concludes by proposing modifications to the theoretical framework that these findings make necessary.

5.1 The Liability of Foreignness: What the Data Adds

The theoretical account of the food knowledge encoding problem in Chapter 2 established that platform data can initiate but cannot complete the resolution of LOF for immigrant food entrepreneurs, because the most commercially important food cultural knowledge resists digital encoding. The empirical findings are consistent with this account, and the contrast between Participants C and F confirms it directly: C's twenty-two years of prior Swedish restaurant experience had largely resolved the encoding problem before platform entry, while F, with no equivalent preparation, experienced it in its most acute form. This is exactly what Zaheer's (1995) framing of LOF as a function of accumulated experience would predict, and the data confirms it operates as expected at the level of individual entrepreneurs.

What the data adds to this picture concerns the demand side rather than the supply side. The existing LOF literature, including Zaheer (1995), frames LOF primarily as a property of the entrepreneur, what they do or do not know. The findings from Participants C and D suggest LOF should also be understood as a property of the relationship between the entrepreneur's offering and the host market's existing cultural categories. C's case showed that Norrbotten's climate creates demand for spicy food independently of any individual business's marketing, a form of asset of foreignness consistent with the demand-side dynamics Light and Gold (2000) and Rath and

Kloosterman (2000) describe, though their accounts focus on diversity-seeking in cosmopolitan markets rather than climate-driven demand in a homogeneous one. D's case showed a related but distinct mechanism: Thai and Indian food already occupy an established place in Swedish food culture, so Swedish consumers bring pre-existing expectations to a platform listing regardless of where, specifically, that listing is located. Mickiewicz et al. (2019) link the commercial value of ethnic differentiation to the diversity of the local consumer base; D's case suggests this value can also exist independently of local diversity, where the cuisine category itself has already become culturally normalized nationally. Together, these findings suggest that asset of foreignness in a market like Luleå's may operate through at least two distinct mechanisms, climatic demand-shaping and category-level cultural normalization, neither of which depends on the presence of a co-ethnic consumer population, the mechanism on which much of the existing literature on immigrant entrepreneurship and ethnic markets has focused (Section 2.6).

A further finding concerns how entrepreneurs engage with the platform's feedback mechanisms once they exist. Participant F's adaptation was reactive, responding only when customers complained, while Participants A, B, and D engaged more actively with review text as a source of cultural information, leading to faster and more accurate calibration of their offerings. This active-versus-passive distinction adds a behavioural dimension to the two-channel learning architecture set out in Section 2.2.2: the architecture describes what information channels are available, but the data suggests that the rate at which LOF is reduced through these channels depends on how the entrepreneur uses them, not merely on their existence.

A final finding, B's packaging and delivery-geography problem, sits awkwardly within the LOF framework as conventionally defined. Zaheer (1995) treats LOF as a knowledge gap concerning the host market's culture and institutions; B's gap concerned neither. After two decades of operation, B had no remaining cultural knowledge gap, yet still encountered a problem the platform made visible for the first time: how food behaves over a thirty-minute delivery journey to customers spread across a geographically dispersed city. This is better understood as a gap in operational or logistical knowledge specific to platform-mediated delivery, a dimension of market entry that exists independently of cultural knowledge and that the LOF literature, focused as it is on cultural and institutional distance, does not address. B's case suggests that for businesses entering a platform-delivery model, even one with zero cultural LOF, a residual operational gap

can remain, one that only becomes visible once the business begins operating within the platform's logistical structure rather than its own.

5.2 The Liability of Outsidership: What the Data Adds

The theoretical account of the algorithmic traction problem proposed a sequential resolution mechanism: meso-level platform brand trust enables first orders, and a positive flywheel builds from there. The empirical findings confirm that this sequence operates broadly as described, but they also show that access to each stage of the sequence is conditioned by factors the existing literature has not connected to one another.

The first concerns Gefen et al.'s (2003) distinction between habitual and explorer consumers. The theoretical framework treats this distinction as a property of consumers in general: some search, most do not. The data from Participants D and F suggests the distinction also has a category-specific dimension. As discussed in Section 5.1, Thai and Indian food already occupy an established place in Swedish food culture, which means a habitual consumer who would not normally seek out a new business may nonetheless be willing to try an unfamiliar restaurant within a familiar cuisine category. For a genuinely unfamiliar food concept, as in Participant F's case, this category-level familiarity is absent, and the explorer segment available to the business may be smaller than Gefen et al.'s framework, applied at the level of the platform as a whole, would suggest. This indicates that the size of the explorer segment relevant to a given business is not fixed by the platform's overall consumer base, but is itself shaped by the cultural position of the cuisine on offer, a moderating variable that sits between Gefen et al.'s (2003) consumer-behaviour account and the asset-of-foreignness literature discussed in Section 5.1.

The second concerns the personal network seeding pathway identified in Section 4.3.2. The theoretical framework does not specify what determines whether an entrepreneur can use this pathway; the data suggests the answer lies in the network literature that underpins the concept of LOO itself. Section 2.3.1 frames LOO in terms of an entrepreneur's position relative to existing local networks, drawing on Granovetter (1973) and Putnam (2000) on bonding ties and Chipp et al. (2019) on bridging mechanisms. Participant A's ability to mobilize friends, acquaintances, and fellow students to generate initial reviews depended on already having such ties in Luleå. An entrepreneur without this network would not have this pathway available, and would face the

circular problem identified in Section 4.3.1 in a form closer to the one Section 2.4.1 originally describes, with no obvious route out of it. In this sense, LOO does not only describe the entrepreneur's general position in the local market, as the existing literature frames it; it also determines, specifically, whether one of the three pathways out of the circular problem identified in this study is accessible at all.

A third finding concerns the interaction between two strands of literature that, in the existing framework, are typically discussed separately. Stallkamp and Schotter (2021) describe how algorithmic ranking systems privilege businesses with higher order volumes, a supply-side mechanism. Gefen et al. (2003) describe how most platform consumers reorder from familiar choices, a demand-side mechanism. Participant G's account, discussed in Section 4.3.1, confirms both mechanisms operating in the same market, and shows that they compound: the supply-side ranking logic reduces a new business's visibility to consumers in general, while the demand-side habitual-ordering pattern means that even the reduced visibility a new business does receive reaches a consumer segment, habitual orders, who are structurally unlikely to act on it. Considered together, these two literatures describe not two separate barriers but one compounded one, what Section 4.3.1 terms a double exclusion. This combination has direct implications for how the circular problem should be modelled: a resolution mechanism that addresses only the supply-side ranking issue, such as the offers and discounts pathway discussed in Section 4.3.2, would still leave the demand-side exclusion in place.

The final finding concerns Participant E. Brouthers et al. **(2022)** treat platform participation as a strategic choice available to the entrepreneur. For Participant E, an established business that existed before platforms entered the Luleå market, participation functioned instead as a competitive necessity: as Section 4.5 discussed, remaining off the platform while competitors joined was not a neutral choice but one with the practical effect of ceding market share. This is consistent with the platform-tipping literature, which describes how digital markets with strong network effects can come to be dominated by a small number of platforms **(Bedre-Defolie and Nitsche 2020)** Bedre-Defolie and Nitsche **(2020)** note that delivery platforms typically exhibit strong local, rather than national, network effects, which is consistent with E's account: the relevant market for E was not Sweden as a whole but the competitive landscape of food delivery within Luleå specifically, where, as E described, most competitors had already joined. Brouthers et al.'s

(2022) strategic-choice framing may therefore hold at an early stage of a platform's presence in a given local market, before local tipping has occurred, but become less applicable once a platform has become locally dominant and an established business's competitors have largely joined it.

5.3 Trust Architecture: What the Data Adds

Ramphal et al. (2026) identify three levels of consumer trust in digital platform markets, micro-level peer reputation, meso-level platform brand, and macro-level regulatory certification, and establish that peer ratings are the dominant driver overall. The empirical findings are consistent with this hierarchy, but show that the relative weight of each level shifts across distinct stages of a business's platform life, in ways that connect to literatures beyond Ramphal et al.'s own framework.

In the pre-rating stage, before any peer reviews exist, platform brand trust is the only mechanism available, as Participant B's account of graduation-cake orders illustrates: customers trusted Wolt's standards before they had any reviews of B's business to rely on. However, platform brand trust alone does not explain how a new business attracts its first customers at all, given the circular problem described in Section 4.3.1: a business with no reviews has low algorithmic visibility regardless of how much consumers trust the platform in general. What platform brand trust appears to explain is something narrower but still important: why the personal network seeding strategy identified in Section 4.3.2 works as a mechanism. When Participant A's friends and contacts ordered through the platform rather than contacting A directly, their willingness to do so rested on the same platform brand trust Ramphal et al. (2026) describe. Platform brand trust, in other words, is necessary for the seeding pathway to function, but the seeding pathway itself, not platform brand trust alone, is what resolves the visibility problem that precedes any question of consumer trust.

At the mature stage, once a business has accumulated reviews and an established rating, the data shows its own specific reputation coming to dominate, consistent with Participant B's account in Section 4.3.2 of customers ordering because they recognized the business itself, independent of the platform's brand. This is not, in itself, a new addition to Ramphal et al.'s **(2026)** hierarchy; it is the same rich-get-richer dynamic that Stallkamp and Schotter **(2021)** describe at the level of algorithmic visibility (Section 2.4.1), restated here at the level of consumer trust. The contribution of the present findings is to show that this single algorithmic mechanism operates simultaneously

as a visibility mechanism and as a trust mechanism: as a business's own reputation grows, it does not only become more visible to the algorithm, it also becomes a trust signal in its own right, one that can substitute for both the platform brand and for peer ratings of the kind a new entrant depends on.

A further dimension of trust, distinct from all three levels in Ramphal et al.'s **(2026)** framework, emerged from participants' use of social media. Participant B described customers who followed the business on Instagram for months, observing the entrepreneur cooking, before placing their first order, and arriving at that order already trusting the business. This is consistent with research on parasocial relationships in social media marketing, where sustained exposure to a visible, personal presence behind a brand has been shown to build consumer trust independently of formal reputation signals such as ratings (Burnasheva & Suh, 2022). Participant F's account of supplier-side consumer anonymity, discussed in Section 4.4.3, helps explain why this matters: the platform's transactional architecture does not allow this kind of personal visibility to develop, so where it occurs, it occurs through a separate channel.

This distinction maps onto the bonding and bridging forms of social capital discussed in Section 2.3.1. Platform participation itself functions as a bridging mechanism in the sense Chipp et al. **(2019)** describe, connecting an entrepreneur to a consumer market with which they previously had no ties. The relational trust Participant B describes through social media is closer to what Granovetter **(1973)** and Putnam **(2000)** describe as bonding, a deeper, more personal connection that develops through sustained contact over time. Ramphal et al.'s **(2026)** institutional trust framework was developed primarily around the bridging function of platform mechanisms, the three levels they describe all concern how an entrepreneur becomes visible and trusted to a market they were previously outside of. The present findings suggest that framework can be extended by incorporating the bonding dimension that social media engagement provides: not as a fourth level of the same kind, operating through institutional signals, but as a structurally different kind of trust, built through sustained personal exposure rather than aggregated signals, that operates alongside, rather than within, the institutional hierarchy Ramphal et al. describe.

5.4 The Modified Theoretical Framework

The findings discussed in Sections 5.1 to 5.3 concern the relationship between immigrant food entrepreneurs and the Swedish consumer market. Participant C's account of a labour shortage severe enough to close the business for two to three months, discussed in Section 4.5, points to a structurally similar liability operating in a different market entirely. Zaheer (1995) conceptualises LOF as the difficulty an entrant faces operating within an unfamiliar host-country institutional environment. The existing literature applies this concept to the entrepreneur's relationship with customers; C's case suggests the same underlying difficulty, operating within an unfamiliar institutional environment as an outsider, can apply equally to an entrepreneur's relationship with the local labour market. Norrbotten's sparse population, geographic isolation, and climate form an institutional environment that is, by C's account, as difficult to recruit workers into as it is straightforward, once the mechanisms discussed in Sections 4.2 to 4.4 are in place, to sell food within. This suggests that liability of foreignness, as experienced by an immigrant-owned business, may need to be assessed separately across each market in which the business operates, rather than treated as a single condition the business faces overall. A business that has substantially resolved its LOF as a supplier may simultaneously face a severe and unresolved LOF as an employer, and the consumer-facing theoretical framework developed in Chapter 2 does not address this second dimension at all.

5.4.1 Visual Summary of the Modified Framework

Figure 5.1 presents the modified theoretical framework that emerges from the empirical findings of this study. The framework retains the original structure proposed in Chapter 2 the liability of foreignness and the liability of outsidership as structural barriers, the managed ecosystem platform as the primary resolution mechanism; and the three research questions as the organizing structure of the empirical inquiry. The sequential trust architecture replaces the three parallel institutional trust levels proposed by Ramphal et al. (2026), reflecting the temporal dynamics identified across the stages of platform participation. Two findings that fall entirely outside the original theoretical framework are presented in dashed boxes: the Luleå labor market barrier and the structural power asymmetry. The dashed-box convention signals that these findings require theoretical frameworks beyond those this study engages with.

Visual Summary of Modified Theoretical Framework

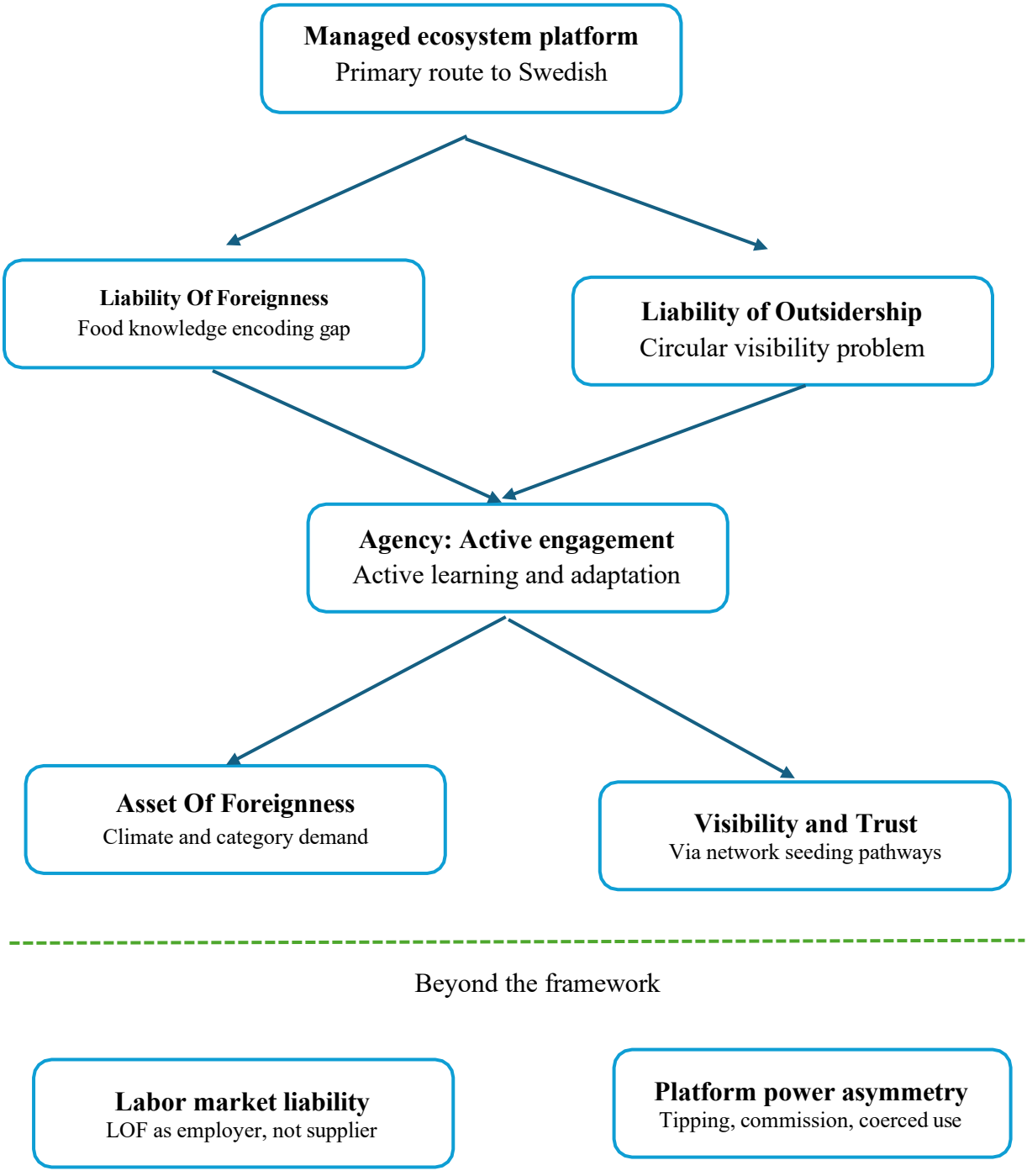


Figure 5. 1: Visual Summary of Modified Theoretical Framework
Source: Author's owns development

CHAPTER 6: CONCLUSION AND IMPLICATIONS

This final chapter draws together the study's theoretical contributions, practical implications, limitations, and directions for future research. It is organized around the three research questions, addressing in each case what the findings, considered in dialogue with the wider literature discussed in Chapter 5, imply for the theoretical frameworks this study engages with, before turning to the broader significance of these implications for the policy and platform design contexts in which immigrant food entrepreneurship in non-metropolitan Sweden unfolds.

6.1 Conclusion

This study examined whether and how managed ecosystem platforms, specifically Foodora and Wolt, help immigrant food entrepreneurs in Luleå overcome the liability of foreignness and the liability of outsidership when entering the Swedish mainstream consumer market.

The most important finding to emerge from this study concerns the relationship between two levels at which immigrant food entrepreneurs interact with managed ecosystem platforms. Curchod et al. (2020) distinguish, in their study of online marketplaces, between a transactional level, the relationship between a seller and individual customers, and a governance level, the relationship between a seller and the platform itself. Read through this distinction, the findings of Sections 4.2 and 4.3 concern primarily the transactional level: the food knowledge encoding problem and the circular visibility problem both describe the entrepreneur's relationship with Swedish consumers, and both can, through the mechanisms identified in Sections 5.1 and 5.2, be substantially addressed. The findings of Section 4.5, by contrast, concern the governance level: the entrepreneur's relationship with the platform as an institution, its commission structure and terms of participation, which remains structurally asymmetric regardless of how successfully the transactional-level barriers are addressed. The central conclusion of this study is that these two levels operate largely independently. A business can resolve its transactional-level liabilities, achieving cultural fit, algorithmic visibility, and consumer trust, while its governance-level relationship with the platform remains as constrained as it was at entry. This is consistent with the wider literature on platform-dependent entrepreneurship, which describes similar dependency and risk arising from unilateral platform control (Cutolo & Kenney, 2021) and with research on

delivery-platform commission structures specifically, suggesting this pattern is not unique to Luleå.

Within the transactional level, the data confirms a pattern the existing literature would predict: entrepreneurs with prior Swedish food service experience entered with a smaller encoding problem discussed in Section 5.1, (Zaheer, 1995) and were more likely to have the personal networks needed to resolve the circular problem quickly, discussed in Section 5.2. This is consistent with, rather than additional to, the framework's existing account of liability of foreignness as a function of accumulated experience.

The case of Participant E illustrates the governance-level finding directly. For E, platform participation was not primarily a route to transactional-level benefits already largely available through an established offline reputation, discussed in (Section 4.3.2); it was, as Section 4.5 discussed, a response to pressure at the governance level, joining because the local market had reached a point where non-participation was commercially equivalent to exit. The 30% commission, raised independently by three of the eight entrepreneur participants and confirmed as standard policy by the platform manager, is the clearest governance-level cost identified in this study, consistent with the commission structures Li and Wang (Zaheer, 1995) examine in their analysis of regulatory responses to delivery-platform fees. This finding does not invalidate the framework's account of how platforms enable transactional-level market entry; it specifies the governance-level conditions under which that enabling function comes at a cost the entrepreneur cannot negotiate.

6.2 Theoretical Contributions

This study makes four contributions to theory. each specifying how a particular existing framework should be understood differently in light of the empirical findings.

The first concerns the asset of foreignness literature. Light and Gold (2000) and Rath and Kloosterman (2000) ground asset of foreignness in immigrant entrepreneurs' ability to serve, or to draw on knowledge of, co-ethnic consumer populations, and Mickiewicz et al. (2019) tie its commercial value to the diversity of the local consumer base. The findings from Participants C and D show asset of foreignness arising through two further mechanisms that do not depend on a

co-ethnic population at all: a climate-driven shift in local demand, and the prior cultural normalization of a cuisine category within the host market generally (Section 5.1). This extends the asset of foreignness literature to contexts such as Luleå, where no substantial co-ethnic consumer population exists, suggesting the concept applies more broadly than its co-ethnic-market origins imply.

The second concerns Zaheer's (1995) liability of foreignness framework, which conceptualizes LOF as a knowledge gap regarding the host country's culture and institutions. Participant B's packaging and delivery-geography problem identifies a further dimension, an operational or logistical gap specific to platform-mediated delivery, that exists independently of cultural knowledge and that Zaheer's framework, focused on cultural and institutional distance, does not address (Section 5.1). Relatedly, Section 4.3.2 identified a distinction between liability of foreignness towards the host market, the entrepreneur's knowledge of Swedish food culture, and liability of foreignness towards the platform itself, the entrepreneur's knowledge of the platform's own institutional features. Both extensions suggest Zaheer's (1995) framework, when applied to platform-mediated market entry, needs to account for knowledge gaps regarding the platform as an institution in its own right, not only the host country.

concerns the circular problem and the social capital literature that explains how entrepreneurs overcome it. Stallkamp and Schotter (2021) describe the supply-side algorithmic mechanism, and Gefen et al. (2003) describe the demand-side habitual-consumer mechanism, as separate phenomena. Section 5.2 showed these operate together as a double exclusion, a combination not previously specified in either literature. Section 5.2 further showed that access to the personal network seeding pathway, one of the three routes out of this double exclusion identified in Section 4.3.2, depends on the entrepreneur's pre-existing bonding ties (M. S. Granovetter, 1973; Putnam, 2000) and on the bridging function platform participation itself can perform (Chipp et al., 2019). This extends the bonding and bridging literature by showing it determines not only an entrepreneur's general market position, as the existing literature frames it, but specifically which of several available strategies for overcoming a platform's circular problem are accessible to a given entrepreneur.

The fourth contribution is the identification of structural power asymmetry as a theoretically significant variable in the managed ecosystem platform relationship. The existing literature treats platform participation as voluntary. This study provides empirical evidence that in locally dominant platform markets, participation can be effectively compulsory, and the financial terms of that compulsion can be incompatible with the commercial sustainability of the businesses most dependent on the platform's enabling function.

The fourth concerns institutional trust and platform power. Ramphal et al. (2026) describe three trust levels, micro, meso, and macro, as operating in parallel. Section 5.3 showed these operate sequentially across a business's platform life, with platform brand trust dominant before ratings exist and peer ratings dominant afterwards, and identified a further, structurally distinct relational trust dimension operating through social media (Burnasheva & Suh, 2022). Separately, Curchod et al. (2020) distinguish, in the context of online marketplace work, between transactional-level and governance-level power asymmetries. Section 6.1 showed this distinction applies to immigrant food entrepreneurship: the transactional-level liabilities, LOF and LOO, can be substantially resolved through the mechanisms above, while the governance-level relationship with the platform, its commission structure (2024) and the compulsory nature of participation in a locally dominant market (Bedre-Defolie & Nitsche, 2020; Cutolo & Kenney, 2021), remains unaffected by that resolution. This extends Ramphal et al.'s (2026) framework temporally and connects it, via Curchod et al. (2020), to the platform-power literature in a way neither literature does on its own.

Beyond these four contributions, the finding that prior occupational experience reduces the severity of LOF at market entry (Section 5.1) is consistent with, and extends to a digital-platform context, the broader internationalization literature on experiential learning reducing psychic distance (Johanson & Vahlne, 2009; Schweizer, 2013). This suggests the implications of this study are not confined to immigrant food entrepreneurship specifically, but apply to any actor entering an unfamiliar market through a digital platform, for whom relevant prior experience, wherever acquired, appears to substitute for some of the learning the platform itself can provide.

6.3 Practical Implications

For immigrant food entrepreneurs in non-metropolitan Swedish cities, the most actionable finding is that prior Swedish food service employment is the most effective preparation available for platform-based market entry. Working in a Swedish hotel, restaurant, or as a delivery rider provides embodied food knowledge of Swedish food culture and platform operational knowledge that no amount of platform data can substitute for. Immigrant entrepreneur support programs in Sweden should systematically facilitate this form of pre-entry occupational learning rather than focusing exclusively on business planning and financial support.

The personal network seeding strategy, using personal contacts to generate the initial platform reviews that the algorithm requires before organic consumer discovery begins, is not optional and must be planned before the platform listing goes live. The circular problem does not resolve itself through the platform's own mechanisms; it requires active initiation. Immigrant food entrepreneurs who join the platform without a plan for generating their first twenty to thirty reviews will face a commercially precarious early period that the platform's design does not address.

Social media engagement should begin simultaneously with platform listing. The relational trust that consistent social media presence builds accumulates slowly, in the same way that peer ratings accumulate slowly. Beginning both processes at the same time maximizes the period over which relational trust can develop alongside transactional trust.

For Foodora and Wolt, this study identifies a structural contradiction between the enabling narrative they project and the mechanisms they actually provide. A temporary algorithmic visibility period for newly registered suppliers, proactive communication of the offers section as an alternative visibility mechanism, and a tiered commission structure for new and small suppliers would bring the platform's design into closer alignment with its enabling claims. The current design systematically disadvantages the businesses that most need the enabling function the platform promotes.

For policymakers and business support organizations in northern Sweden, the labor market finding from Participant C identifies a barrier to immigrant food business sustainability that platform theory, LOF theory, and LOO theory all fail to address. Supporting immigrant food businesses to

recruit and retain restaurant workers in northern Swedish cities through apprenticeship programs, wage subsidies, or relocation incentives would address a structural operational challenge that effective market entry through the platform cannot resolve.

6.4 Limitations

This study has four limitations. The first is survivor bias. All participants are businesses that are currently active on the platform. Businesses that attempted platform-based market entry and failed are not represented. The platform's enabling function may appear more consistently effective than it would in a sample that included commercial failures alongside commercial successes.

The second limitation is the absence of the consumer perspective. Swedish consumers who make the trust and ordering decisions that determine whether immigrant food businesses succeed, are present in the dataset only as described by entrepreneurs and the platform manager. A complementary consumer-side study would provide a more complete account of the trust-building process.

The third limitation is geographic specificity. Luleå was chosen as the most demanding possible test context, and the findings may overstate the difficulty of both the encoding problem and the algorithmic traction problem relative to non-metropolitan Swedish cities with larger or more diverse immigrant communities. Analytical generalization to similar contexts is supported by the thick description of the Luleå setting provided throughout this study.

The fourth limitation is the variation in interview depth. Two participants provided full semi-structured interview transcripts. Three provided brief interview accounts. One provided interview notes. The Foodora manager was interviewed via WhatsApp. This variation means that some cases contributed richer analytical material than others, and some findings that might have been developed further with more detailed interview data remain at the level of confirmation rather than elaboration. This is most apparent for the novel findings discussed in Sections 5.1 to 5.5: the operational outsidership, asset-of-foreignness, third learning channel, and labour-market findings each rest on a single participant's account. While each is grounded in specific, detailed evidence, their generalizability within the sample itself, beyond the individual case, cannot be assessed with the data collected, and this should be considered when interpreting their theoretical significance.

6.5 Future Research

Five directions for future research emerge from this study. The first is a longitudinal study tracking immigrant food entrepreneurs from platform listing through to commercial maturity or exit. The temporal trust model proposed in Chapter 5 is inferred from cross-sectional comparison of participants at different stages. Longitudinal observation of individual businesses would test the model against actual developmental trajectories and would capture the businesses that do not succeed, the cases most absent from this study's dataset.

The second direction is the labor market as a structural barrier to immigrant food business sustainability in northern Sweden. The finding from Participant C is important enough to warrant dedicated theoretical and empirical attention. Why cannot successful immigrant food businesses in Luleå find and keep restaurant staff? What interventions would address this? These are questions that platform theory and LOF/LOO theory cannot answer and that a dedicated research agenda should address.

The third direction is a consumer-side study. How do Swedish consumers in non-metropolitan cities make trust and ordering decisions about immigrant food businesses on delivery platforms? Does the sequential trust pattern identified in Section 5.3, platform brand trust giving way to peer ratings, and the separate relational dimension built through social media, hold from the consumer's own perspective, and does it operate at the same pace this study infers from the supply side? Understanding the demand side of the trust relationship would produce a more complete picture than this study, which captures only the supply side.

The fourth direction is comparing the same theoretical framework across non-metropolitan Swedish cities with different demographic compositions, platform penetration levels, and labor market conditions. This would establish which findings are specific to the extreme conditions of Luleå and which hold more broadly across small and medium Swedish cities.

The fifth direction is theoretical extension of the supplier-side consumer anonymity finding. Ramphal et al.’s 2026) framework examines how consumers build trust in suppliers. The inverse problem, how suppliers can build knowledge of and relationships with consumers who remain structurally invisible to them, has been addressed in adjacent contexts: Curchod et al. (2020)

describe a similar visibility gap facing eBay sellers in relation to buyers, as part of a broader account of platform power asymmetry. What remains unaddressed is this problem's implications specifically for trust-building, rather than power, frameworks in digital platform markets. A dedicated research programme connecting these two literatures, platform power asymmetry and platform trust, around the shared problem of supplier-side consumer anonymity would be a natural extension of both.

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Appendix

Appendix 1: Interview Guide

Estimated duration : 30 - 40 minutes
Interview type : Semi-structured

Interview opening

Thank you for taking part in this interview. The purpose of this study is to understand how immigrant food entrepreneurs in Luleå use digital platforms such as Foodora, Uber and Wolt to reach Swedish customers and build their business. There are no right or wrong answers. We are interested in your own experiences and story. Everything you share will be kept confidential. Your name and business will remain anonymous in the final thesis. You may choose not to answer any question or to stop the interview at any time.

Do we have your permission to record this interview?

1) Business background & journey

- How did you come to Luleå, and how did you start your food business here? What is your story?
- What kind of food business do you run? Is it a restaurant, a cake business, or something else?
- Do you have a physical shop, or do you mainly operate online through the platform?
- When you think about your business today, what stands out to you most about how it has developed?

Fallow up Question: Can you give an example? How did you first get started with your idea?

2) Joining the platform - discovery and first experience

- How you went online and how did you first hear about Foodora, Uber or Wolt, what made you decide to join?
- What did you expect from the platform before you joined?
- What was your experience in the early days, what happened when you first joined and started offering your food?

Fallow up Question: Can you give an example of your first orders or first customer experiences? What surprised you

Fallow up Question: Have you recommended first when you registered and how you work with the platform to get noticed. long did it take before you started getting regular orders?

3) Learning Swedish food culture (understanding what customers want)

- When you first started in Luleå, ask them first generically who your customers? They are Swedish people or not? what percentage of their target market is?
- How much did you know about what Swedish customers wanted from a food business?
- How did you find out about Swedish food culture and what local customers prefer?
- Have you changed any of your products, recipes, or presentations because of what you learned? Can you tell me about that?

Fallow up Question: Did the platform itself through orders, ratings, or reviews teach you anything about Swedish preferences?

Fallow up Question: Did you use social media to observe other food businesses and see what was popular?

Fallow up Question: Was there a specific moment when you realized you needed to adapt your food to match local expectations?

4) Reaching Swedish customers & building trust

- Before you joined the platform how you found customers, how difficult was it to reach Swedish customers who did not already know you?
- How did Swedish customers start to find you and trust you through the platform?
- How important are the ratings and reviews to your business, how have they affected your growth?
- What is the source of trust in your business?

Fallow up Question: Do you think customers trust you because you are on the platform, or because of your own reputation? Or both?

Fallow up Question: How do you use Instagram or Facebook alongside the platform how do the two work together?

Fallow up Question: Was there a turning point when you felt the platform was really working for you? What happened?

5) Challenges & what has worked (Sweden-specific context)

- What have been the biggest challenges you have faced in building your business in Luleå through digital platforms?

- Are there things about Swedish customers, Swedish culture, or the platform itself that have made things harder for you?
- Looking back at your whole journey, what has made the biggest difference to the success of your business?

Fallow up Question: Were there challenges related to being new, being unknown, or not understanding what Swedish customers expected?

Fallow up Question: What would you tell another immigrant food entrepreneur who is just starting out in a city like Luleå?

6) Life and belonging in Luleå

- Outside your business, how would you describe your life in Luleå? Have you connected with the local community here?
- Do your personal connections in Luleå friends, neighbors' community, affect your business in any way?
- Thinking ahead, do you imagine staying in Luleå long term? What would influence that decision?

Fallow up Question: Where or when do you feel most at home in Luleå? Where do you feel at home?

7) Closing reflection

- Thinking about everything we have talked about what has been the most important thing that has helped your business succeed in Luleå?
- If you could change one thing about your experience using digital platforms as a food entrepreneur in Luleå, what would it be?
- Is there anything else you would like to add, anything important that we have not talked about yet?

Meaning check summary: You mentioned [X] and [Y] as important parts of your experience, and [Z] seemed to matter most when… Did I understand that correctly?

Interview closing

Thank you very much for your time and for sharing your story with me. I really appreciate your openness. Everything you have shared will be very valuable for this research. Your name and business details will remain completely anonymous. If you would like to receive a summary of the findings once the research is complete, I am happy to send that to you. Do you have any questions for me?

Appendix 2

Audit Trail of Coding Decisions

Participant	Exact Quote	Initial Code	Refined Code	Theme	Construct
B	*"The way that we package them at the start doesn't really work with the delivery. A lot of people live not in the city centre. They might be 30 minutes away. So some fried food. We have to rethink about the packaging at all."*	Packaging failure for delivery	Packaging redesign for delivery	Operational cultural adaptation	LOF
B	*"Yeah, the food is good, but it's a bit too spicy. So, next time, if you order that, you should say milder or something like that. So, we kind of have to adapt to that."*	Customer spice complaint	Spice calibration	Reactive market learning	LOF
B	*"We have been there for a very, very long time and people know about that. Some of the people who just installed the app, they were like, oh, the restaurant is here too. Let's order."*	Pre-existing reputation transfer	Reputation-based trust continuity	Breaking circular problem	LOO
B	*"On Foodora I am a restaurant. On Instagram I am a person. The customers can see me cooking, they can see where the ingredients come from, they can see how much I care about the food. Some customers follow us for months before they order. When they finally order, they already trust us."*	Social media personal trust	Relational trust through social media	Social media trust dimension	Trust
C	*"Spicy food, people like too much. Outside is too cold, it's always cold. When it's cold, people like Indian food, spicy food. Because outside is cold."*	Climatic cultural insight	Pre-entry cultural knowledge	Pre-entry experience as LOF moderator	LOF

C	*"When you open one restaurant, one city, city is very small. This is coming in newspaper, commune, Facebook, everything. This is direct coming, it's free costing. After, you know, this is a small city. And you open before, everybody knows."*	Small city word of mouth	Small city community curiosity	Breaking circular problem	LOO
C	*"I trust myself. If I make something, I eating, I tasting, if I thinking it's good, people can eat. If I say that I make food, I cannot eat, people cannot eat."*	Self-quality judgment	Quality-based trust formation	Micro-level trust	Trust
C	*"Lulio is not, restaurant business finish. It's very tough. I have no restaurant. Closed two month, I have no people. Maybe I sold tomorrow"*	Labour market crisis	Labour market barrier	Beyond framework	Beyond framework
E	*"I don't want to do that, but I have to because most of the restaurants and pizzerias, they have it. Something we have to do it."*	Forced participation	Coerced participation	Platform economics	Beyond framework
E	*"They charge from us, they charge from the customer as well. They charge for the delivery. I called them and I ask them, what is it? They give a discount mine is 20 crowns. They said this is the discount for the delivery. I said, I didn't agree with you."*	Commission complaint	Commission pressure	Structural power imbalance	Beyond framework
F	*"We don't know who the customers are. Can customers coming to us or not"*	Customer anonymity	Supplier-side consumer anonymity	Digital growth without embeddedness	Beyond framework
G	*"Fast-moving items are shown to customers first."*	Algorithm favoritism	Algorithmic visibility asymmetry	Circular visibility dependency	LOO

G	*"Some customers usually order what they previously ordered and were satisfied with. So the system shows recently more-bought places to help customers."*	Habitual ordering pattern	Dual consumer ordering behavior	Demand-side circular problem	LOO
G	*"By registering, every person can see the business."*	Platform visibility	Initial platform-enabled legitimacy	Surrogate legitimacy	Trust
H	*"First month, even I didn't get one single order from the pudora."*	Zero initial orders	Platform expectation gap	Circular visibility dependency	LOO
H	*"Through the platform, we don't have anything to learn. Just be older and we deliver. We can't learn how customers are thinking, what is the customer experience."*	Platform as distribution only	Distribution-learning distinction	Platform-mediated cultural learning	LOF
H	*"Even though we thought that the platform will do the marketing for us to the customers, that's not happening actually."*	Marketing expectation mismatch	Platform marketing expectation gap	Circular visibility dependency	LOO
H	*"From the beginning, I have used the social media like Facebook, Instagram, and other social media platforms. Promote the business."*	Active social media use	Relational trust through social media	Social media trust dimension	Trust
I	*"Only one option, my food is the good quality, the second one, my delivery is best."*	Quality and delivery focus	Quality-based trust formation	Review-mediated trust formation	Trust
I	*"You make good food, you can talk to with customer is good, everything is fine, you can get more customers."*	Customer service emphasis	Customer service as trust mechanism	Review-mediated trust formation	Trust
I	*"Too many people is looking for discount, somebody is not looking therefore, somebody is looking for test also."*	Discount seeking behavior	Price-based risk reduction	Dual consumer ordering behavior	Customer behavior

I	*"Now I am registered with the food Dora. Now I have too many customers. Business is good. Everything is fine also."*	Platform generated customers	Surrogate legitimacy effect	Initial platform-enabled legitimacy	Trust

Audit Trail of Coding Decisions: Source: Author's own development

Appendix 3

Double Coding Comparison Table

Participant	***Quote***	***First Coding***	***Second Coding***	***Final Code***	***Consistent?***
B	*"food is good but too spicy"*	Spice complaint	Customer feedback spice	Spice calibration	Yes
B	*"rethink about the packaging"*	Packaging problem	Delivery packaging issue	Packaging redesign	Yes
C	*"city is very small...everybody knows"*	Small city awareness	Community word of mouth	Small city community curiosity	Yes
E	*"I don't want to do that but I have to"*	Forced to join	Competitive compulsion	Coerced participation	Yes
G	*"Fast-moving items shown first"*	Algorithm bias	Algorithmic ranking	Algorithmic visibility asymmetry	Yes
H	*"didn't get one single order"*	No orders	Zero visibility	Platform expectation gap	Yes
I	*"my food is good quality"*	Quality focus	Quality trust	Quality-based trust formation	Yes

Sourse: Author's own development.